



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1 Multiple Choice

May/June 2020

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



1 Which statement is correct?

- A** Accounting involves measuring profits and losses.
- B** Accounting is the recording of financial transactions.
- C** Book-keeping involves communicating financial data.
- D** Book-keeping requires the use of ratio analysis.

2 The balances remaining on the books of a business after the preparation of the income statement included the following.

	\$
loan from XY Finance	10 000
wages due	620
rent prepaid	240
trade receivables	3 300
trade payables	4 650
motor vehicles	8 000
provision for depreciation of motor vehicles	2 000

What was the total of the liabilities?

- A** \$13 920 **B** \$14 890 **C** \$15 270 **D** \$17 270

3 On 2 April Nina received a cheque from Zaffar, a credit customer. On 12 April the cheque was returned unpaid by the bank.

What entry would Nina make on 12 April?

	account to be debited	account to be credited
A	irrecoverable debts	bank
B	irrecoverable debts	Zaffar
C	provision for doubtful debts	Zaffar
D	Zaffar	bank

- 4 Ann is a trader. On 1 April Cindy's account in Ann's ledger showed a credit balance of \$520. The following transactions took place during April.

April 2 Ann returned goods, \$30, to Cindy.

14 Ann bought goods, \$210, from Cindy, and paid in cash.

Which statement about the balance on Cindy's account in Ann's ledger on 30 April is correct?

- A Ann owes Cindy \$490.
 B Ann owes Cindy \$700.
 C Cindy owes Ann \$490.
 D Cindy owes Ann \$700.
- 5 Goods bought on credit by Tumelo from Tebogo are returned before they are paid for. Tumelo keeps a full double entry system.

Where will Tumelo record the return of goods?

- A cash book and sales ledger
 B general ledger only
 C general ledger and purchases ledger
 D purchases ledger only
- 6 Dave supplies goods to Peter on credit. On 1 April, Peter owed Dave \$440. Dave sent or received the following documents in April.

	\$
April 7 invoice	360
12 cheque (after deducting \$11 cash discount)	429
13 debit note	50
15 credit note	50

What was the closing balance on the statement of account on 30 April?

- A \$260 B \$310 C \$321 D \$421
- 7 What is recorded in the sales journal?
- A all money received from sales
 B all sales transactions
 C cash sales transactions
 D credit sales transactions

- 8 Which statement about a two-column cash book is correct?
- A It is a ledger account for bank transactions only.
 - B It is a ledger account for cash transactions only.
 - C It is a book of prime entry.
 - D It records cash discounts.
- 9 Which statements about trade discount are correct?
- 1 It is debited to the supplier's account.
 - 2 It is only given if the invoice is paid within the period allowed by the supplier.
 - 3 It is shown as a deduction from the price of the goods on an invoice.
 - 4 It is used to encourage bulk buying.
- A 1 and 2 B 1 and 3 C 2 and 4 D 3 and 4
- 10 Why is a trial balance prepared?
- A to analyse the financial information
 - B to assist preparation of financial statements
 - C to control the costs of the business
 - D to evaluate the performance of the business
- 11 The income statement of a business showed a loss for the year of \$16 000. On checking the books the following errors were discovered.
- 1 No adjustment had been made for insurance prepaid, \$480.
 - 2 No entry had been made for bank charges, \$620.

What was the correct loss for the year?

- A \$14 900 B \$15 860 C \$16 140 D \$17 100

- 12** Peter's bank statement showed a debit balance of \$600 on 1 April. The following transactions took place in April.

	\$
total cheque deposits	7400
total cheque payments	6200
direct debit for insurance premium	180
credit transfer from customer	450

What was the bank statement balance on 30 April?

- A** \$870 credit
B \$870 debit
C \$2070 credit
D \$2070 debit
- 13** A sales ledger control account had a debit balance of \$10 000.
- It was found that a \$2000 contra entry to the purchases ledger control account had been entered on the wrong side of the sales ledger control account.
- What was the correct debit balance on the sales ledger control account?
- A** \$6000 **B** \$8000 **C** \$12 000 **D** \$14 000
- 14** A business had a new extension to its workshop premises. It incurred the following expenditure.

	\$
building cost	65 000
legal fees	1 800
air conditioning system for the original workshop	2 300
air conditioning system for the new workshop extension	1 100
decorating the original workshop	1 400
decorating the new workshop extension	800

What was the total capital expenditure of the business?

- A** \$67 900 **B** \$70 200 **C** \$71 000 **D** \$72 400

- 15 A non-current asset was depreciated at the end of the first year of ownership using the straight-line method based on the following information.

cost	\$20 000
working life	4 years
residual value	\$4000

It was then found that the reducing balance method at 30% per annum should have been used.

What was the effect on the profit for the year of **correcting** this error?

- A decrease by \$2000
 B increase by \$2000
 C decrease by \$6000
 D increase by \$6000
- 16 A company's financial year ended on 31 December 2019. On 1 December 2019 it paid rent, \$8000, for the four months ending 31 March 2020.

What was the opening balance on the rent account on 1 January 2020?

- A \$2000 credit
 B \$2000 debit
 C \$6000 credit
 D \$6000 debit

- 17 Alice's financial year ends on 31 December.

The balances on her books on 1 January 2020 included the following.

	\$
commission receivable	250 debit
rent receivable	500 credit

What do these balances represent?

	commission receivable	rent receivable
A	income outstanding	income outstanding
B	income outstanding	income prepaid
C	income prepaid	income outstanding
D	income prepaid	income prepaid

- 18** Joseph sells goods on credit and maintains a provision for doubtful debts. He wants to increase his provision for doubtful debts by \$250.

Which journal entry records an increase in the provision for doubtful debts?

		debit \$	credit \$
A	credit customer income statement	250	250
B	income statement credit customer	250	250
C	income statement provision for doubtful debts	250	250
D	provision for doubtful debts income statement	250	250

- 19** Which items are deducted from the gross profit when calculating the profit for the year?

- 1 balance on the provision for doubtful debts account
- 2 carriage paid on goods supplied to customers
- 3 drawings made by the owner during the year
- 4 wages paid to employees during the year

A 1, 2 and 3 **B** 1 and 4 **C** 2 and 3 only **D** 2 and 4

- 20** On 31 December 2019 John had net assets of \$2000 and capital of \$2000.

On 1 January 2020, goods costing \$140 were sold on credit for \$220.

What was the effect of this transaction on the statement of financial position?

	net assets	capital
	\$	\$
A	80 decrease	80 decrease
B	80 increase	80 increase
C	220 decrease	220 decrease
D	220 increase	220 increase

- 21** At the end of his financial year, Raminder made an adjustment for rent owed by a tenant.

How did this affect Raminder's financial statements?

	profit for the year	current assets
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 22** The owner of a business took goods for his own use but forgot to make an entry in the accounts.

What was the **effect** of this error?

	profit for the year	capital employed
A	overstated	no effect
B	overstated	understated
C	understated	no effect
D	understated	overstated

- 23** Rajid and Sunil formed a partnership on 1 January 2019 but did not prepare a partnership agreement.

They provided the following information.

	Rajid	Sunil
capital introduced 1 January 2019	\$40 000	\$20 000
during the year ended 31 December 2019		
drawings	\$5 000	\$3 500
share of work	50%	50%

They decided to draw up a partnership agreement for future years.

Which item would be most beneficial to Rajid in 2020?

- A** interest on capital
- B** interest on drawings
- C** limit on annual drawings
- D** partnership salaries

- 24** Harry and Jane are in partnership. The following information relates to Harry for the financial year.

	\$
salary	8000
drawings	2800
share of profit	4600

The opening credit balance on Harry's current account was \$28 200.

What was the closing balance on his current account?

- A** \$30 000 **B** \$38 000 **C** \$40 800 **D** \$43 600
- 25** Which item is shown in the income statement of a company **and** statement of changes in equity?
- A** interest on debentures accrued
- B** ordinary share dividend paid
- C** profit for the year
- D** transfer to general reserve
- 26** Hassan's capital decreased by \$200 over the year, even though he made a profit of \$7000.

Which transactions caused this?

	capital introduced \$	drawings \$
A	1000	8200
B	1200	6000
C	2000	8800
D	2200	4600

27 Ahmed provided the following information.

	\$
trade receivables at 1 January 2019	15 000
for the year ended 31 December 2019:	
credit sales	85 000
cash sales	12 000
cheques received from trade receivables	65 000
irrecoverable debts	2 000

By how much had the trade receivables **increased** by the end of the financial year?

- A** \$18 000 **B** \$30 000 **C** \$33 000 **D** \$45 000

28 Gordon provided the following information for the year.

revenue	\$90 000
opening inventory	\$8 000
closing inventory	\$2 000
mark up	50%

Gordon took goods, \$7000, for his own use.

What were the purchases?

- A** \$43 000 **B** \$47 000 **C** \$54 000 **D** \$61 000

29 A trader provided the following information.

	\$
for the year ended 31 March 2020	
revenue	250 000
purchases: cash	125 000
credit	115 000
at March 2020	
trade payables	9 765

What was the trade payables turnover?

- A** 14 days **B** 15 days **C** 29 days **D** 31 days

- 30** On 1 January 2019 current assets totalled \$16 000 and the current ratio was 2 : 1.

On 31 December 2019 the current liabilities had increased by 50% and the current ratio was 1.5 : 1.

What was the value of the current assets on 31 December 2019?

- A** \$16 000 **B** \$18 000 **C** \$32 000 **D** \$36 000

- 31** A company provided the following information about its liquid (acid test) ratio.

Year 1 1.2 : 1

Year 2 1.4 : 1

Year 3 1.6 : 1

Which would explain the changes in the ratio?

- A** Inventory is increasing.
B Other payables are decreasing.
C Trade payables are increasing.
D Trade receivables are decreasing.

- 32** Which user of accounting statements is interested in past performance and taking remedial action where necessary?

- A** government
B investors
C managers
D suppliers

- 33** Rashid's financial year ends on 31 December. He paid rent on 1 February, 1 May, 1 August and 1 November.

An adjustment was made in the income statement for rent prepaid.

Which accounting principle was applied?

- A** duality
B matching
C money measurement
D prudence

34 Which statement describes the going concern principle?

- A** Accounting methods must be used consistently from one accounting period to the next.
- B** It is assumed that the business will continue to operate for the foreseeable future.
- C** Revenue is earned when legal title to goods passes from the seller to the buyer.
- D** The business is treated as being completely separate from the owner of the business.

35 Brad purchased a machine for \$1000 on 1 January 2019. The machine was expected to last for four years and have no residual value. On 31 December 2019 the same machine cost \$1200 to purchase.

At which value should the machine be included in the statement of financial position on 31 December 2019?

- A** current cost with no depreciation
- B** current cost with one year's depreciation
- C** original purchase price with no depreciation
- D** original purchase price with one year's depreciation

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ACCOUNTING

0985/11

Paper 1

May/June 2020

MARK SCHEME

Maximum Mark: 35

Published

Students did not sit exam papers in the June 2020 series due to the Covid-19 global pandemic.

This mark scheme is published to support teachers and students and should be read together with the question paper. It shows the requirements of the exam.

Mark schemes should usually be read together with the Principal Examiner Report for Teachers. However, because students did not sit exam papers, there is no Principal Examiner Report for Teachers for the June 2020 series.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the June 2020 series for most Cambridge IGCSE™ and Cambridge International A & AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	C	1
3	D	1
4	A	1
5	C	1
6	B	1
7	D	1
8	C	1
9	D	1
10	B	1
11	C	1
12	A	1
13	A	1
14	C	1
15	A	1
16	D	1
17	B	1
18	C	1
19	D	1
20	B	1
21	D	1
22	C	1
23	A	1
24	B	1
25	C	1
26	A	1
27	A	1
28	D	1

Question	Answer	Marks
29	D	1
30	B	1
31	B	1
32	C	1
33	B	1
34	B	1
35	D	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

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May/June 2020

1 hour 15 minutes

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1 Which are examples of book-keeping?

- 1 entering details of a cheque received from a customer in a cash book
- 2 entering details of goods purchased on credit in a purchases journal
- 3 producing an income statement to calculate the profit for the year
- 4 recording details of credit sales in the account of a credit customer

A 1, 2 and 3 **B** 1, 2 and 4 **C** 1 and 2 only **D** 3 and 4

2 How does a trader use the information provided by financial statements?

- A** to calculate the amount of cash drawings taken
- B** to calculate the amount that is owed by trade receivables
- C** to check the balance shown on a bank statement
- D** to compare the business performance over a number of years

3 A trader bought new fixtures. He paid half of the purchase price in cash and agreed to pay the balance in two months' time.

How does this purchase affect the accounting equation?

	assets	owner's equity	liabilities
A	decrease	decrease	no effect
B	decrease	no effect	increase
C	increase	decrease	increase
D	increase	no effect	increase

4 On 2 April Nina received a cheque from Zaffar, a credit customer. On 12 April the cheque was returned unpaid by the bank.

What entry would Nina make on 12 April?

	account to be debited	account to be credited
A	irrecoverable debts	bank
B	irrecoverable debts	Zaffar
C	provision for doubtful debts	Zaffar
D	Zaffar	bank

- 5 Ann is a trader. On 1 April Cindy's account in Ann's ledger showed a credit balance of \$520. The following transactions took place during April.

April 2 Ann returned goods, \$30, to Cindy.

14 Ann bought goods, \$210, from Cindy, and paid in cash.

Which statement about the balance on Cindy's account in Ann's ledger on 30 April is correct?

- A** Ann owes Cindy \$490.
B Ann owes Cindy \$700.
C Cindy owes Ann \$490.
D Cindy owes Ann \$700.
- 6 Goods bought on credit by Tumelo from Tebogo are returned before they are paid for. Tumelo keeps a full double entry system.

Where will Tumelo record the return of goods?

- A** cash book and sales ledger
B general ledger only
C general ledger and purchases ledger
D purchases ledger only
- 7 Dave supplies goods to Peter on credit. On 1 April, Peter owed Dave \$440. Dave sent or received the following documents in April.

	\$
April 7 invoice	360
12 cheque (after deducting \$11 cash discount)	429
13 debit note	50
15 credit note	50

What was the closing balance on the statement of account on 30 April?

- A** \$260 **B** \$310 **C** \$321 **D** \$421

- 8 A business sold goods with a list price of \$50 each.

The terms of trade were:

trade discount for more than 20 items bought	10%
cash discount if customer pays within 30 days	4%

How much was received in full settlement from a customer who bought 25 items and paid after 35 days?

- A** \$900 **B** \$1075 **C** \$1125 **D** \$1200

- 9 Paul rents premises from John and pays the rent by credit transfer.

How would John record this?

	account debited	account credited
A	bank	rent receivable
B	cash	rent receivable
C	rent receivable	bank
D	rent receivable	cash

- 10 Sita discovers that \$1000 received from the sale of fixtures had been entered in the sales account.

Which journal entry corrected this error?

		debit \$	credit \$
A	bank disposal of fixtures	1000	1000
B	bank fixtures	1000	1000
C	sales disposal of fixtures	1000	1000
D	sales fixtures	1000	1000

- 11** The totals of a trial balance did not agree and \$200 was debited to a suspense account. On checking the books it was found that two errors had been made.

- 1 A sales invoice for \$700 had been recorded in the sales journal as \$770.
- 2 The sales journal had been totalled incorrectly.

What was the error made in totalling the sales journal?

- A** overcast by \$130
- B** overcast by \$200
- C** undercast by \$130
- D** undercast by \$200

- 12** The income statement of a business showed a loss for the year of \$16 000. On checking the books the following errors were discovered.

- 1 No adjustment had been made for insurance prepaid, \$480.
- 2 No entry had been made for bank charges, \$620.

What was the correct loss for the year?

- A** \$14 900
- B** \$15 860
- C** \$16 140
- D** \$17 100

- 13** What would result in a cash book balance being lower than the balance showing on a bank statement?

- A** A cheque received from a customer was not recorded in the bank statement.
- B** A customer's cheque dishonoured by the bank appeared only on the bank statement.
- C** Payment by a customer directly into the bank was not recorded in the cash book.
- D** Payment of insurance by standing order was not recorded in the cash book.

- 14** Thembi is preparing her sales ledger control account. She needs to know:

- 1 The total for goods which have been returned by credit customers.
- 2 The amount owed by credit customers which have been written off as irrecoverable.

Where can she obtain this information?

	goods returned	irrecoverable debts
A	purchase returns account	irrecoverable debts account
B	purchase returns journal	general journal
C	sales returns account	irrecoverable debts account
D	sales returns journal	general journal

- 15 The following payments were made when a new machine was purchased.

	\$
cost of the machine	32 000
charge for delivering the machine	1 800
insurance of the machine	2 000
wages of employees installing the machine	1 300

How much was the capital expenditure?

- A \$32 000 B \$33 300 C \$35 100 D \$37 100
- 16 A non-current asset was depreciated at the end of the first year of ownership using the straight-line method based on the following information.

cost	\$20 000
working life	4 years
residual value	\$4000

It was then found that the reducing balance method at 30% per annum should have been used.

What was the effect on the profit for the year of **correcting** this error?

- A decrease by \$2000
 B increase by \$2000
 C decrease by \$6000
 D increase by \$6000
- 17 Elzevir purchased a motor vehicle costing \$8000 on 1 January 2018. It is depreciated at 40% on the reducing balance basis.

Which journal entry records the depreciation for the year ended 31 December 2019?

		debit	credit
A	income statement provision for depreciation of motor vehicles	1920	1920
B	income statement provision for depreciation of motor vehicles	3200	3200
C	provision for depreciation of motor vehicles motor vehicles	1920	1920
D	provision for depreciation of motor vehicles motor vehicles	3200	3200

- 18 Alice's financial year ends on 31 December.

The balances on her books on 1 January 2020 included the following.

	\$
commission receivable	250 debit
rent receivable	500 credit

What do these balances represent?

	commission receivable	rent receivable
A	income outstanding	income outstanding
B	income outstanding	income prepaid
C	income prepaid	income outstanding
D	income prepaid	income prepaid

- 19 Annual rental income due from Kumar, a tenant, is \$3600. At the start of the year Kumar had prepaid rent of \$900. At the end of the year he owed two months' rent.

How much rent was received from Kumar during the year?

- A** \$2100 **B** \$3300 **C** \$3900 **D** \$5100

- 20 Joel's inventory on 31 December 2019 was valued at \$4800. It was discovered that:

- 1 Goods, cost \$100, had not been included.
- 2 Goods, cost \$170, had been included at net realisable value \$210.

What was the **effect** of the **incorrect** inventory valuation on Joel's financial statements at 31 December 2019?

	profit for the year	\$	inventory	\$	equity	\$
A	overstated	40	understated	40	nil	
B	overstated	60	understated	60	nil	
C	understated	40	understated	40	understated	40
D	understated	60	understated	60	understated	60

- 21** The owner of a business took goods for his own use but forgot to make an entry in the accounts.

What was the **effect** of this error?

	profit for the year	capital employed
A	overstated	no effect
B	overstated	understated
C	understated	no effect
D	understated	overstated

- 22** Rajid and Sunil formed a partnership on 1 January 2019 but did not prepare a partnership agreement.

They provided the following information.

	Rajid	Sunil
capital introduced 1 January 2019	\$40 000	\$20 000
during the year ended 31 December 2019		
drawings	\$5 000	\$3 500
share of work	50%	50%

They decided to draw up a partnership agreement for future years.

Which item would be most beneficial to Rajid in 2020?

- A** interest on capital
B interest on drawings
C limit on annual drawings
D partnership salaries
- 23** Harry and Jane are in partnership. The following information relates to Harry for the financial year.

	\$
salary	8000
drawings	2800
share of profit	4600

The opening credit balance on Harry's current account was \$28 200.

What was the closing balance on his current account?

- A** \$30 000 **B** \$38 000 **C** \$40 800 **D** \$43 600

24 The statement of financial position of X Limited at 31 December 2018 included the following:

	\$
ordinary share capital	40 000
general reserve	8 000
retained earnings	65 000
8% debentures (repayable 2025)	30 000

Profit for the year ended 31 December 2019 was \$42 000 and dividends paid totalled \$10 000.

What was the total equity on 31 December 2019?

- A** \$137 000 **B** \$145 000 **C** \$155 000 **D** \$175 000

25 Which is a feature of debentures?

- A** are a long-term liability of a company
B carry a fixed rate of dividend
C carry voting rights
D on liquidation are paid back after shareholders

26 Which cost is part of the prime cost for a manufacturing business?

- A** carriage inwards
B carriage outwards
C factory rent
D factory supervisor's salary

27 A manufacturing business provided the following information.

	\$
prime cost	236 000
factory overheads	42 000
opening work in progress	8 000
closing work in progress	6 000

What was the factory cost of production?

- A** \$234 000 **B** \$238 000 **C** \$276 000 **D** \$280 000

28 A trader provided the following information.

	\$
trade receivables at start of the year	5 000
trade receivables at end of the year	8 500
cash received from trade receivables	34 700
irrecoverable debts written off	200
discount allowed	185

What was the amount of the credit sales?

- A** \$38 200 **B** \$38 385 **C** \$38 400 **D** \$38 585

29 Gordon provided the following information for the year.

revenue	\$90 000
opening inventory	\$8 000
closing inventory	\$2 000
mark up	50%

Gordon took goods, \$7000, for his own use.

What were the purchases?

- A** \$43 000 **B** \$47 000 **C** \$54 000 **D** \$61 000

30 Sabelo's liquid (acid test) ratio was higher on 1 January 2019 than it was on 31 December 2019.

What could have caused this?

- A** bank overdraft decreased
B inventory decreased
C other payables decreased
D trade receivables decreased

31 The following ratios have been calculated for a trader.

	year 1	year 2
profit margin	15%	20%
return on capital employed (ROCE)	9%	6%

What explains these changes?

- A Drawings have increased by more than profit for the year.
- B Gross profit has increased but profit for the year has decreased.
- C Profit for the year has increased and capital has been introduced.
- D Profit for the year has increased and a long-term loan has been repaid.

32 Which external parties would be interested in the accounting ratios of a business?

- A government
- B investors
- C managers
- D tax authorities

33 At the end of the financial year, a company did not account for the unused stationary valued at \$50.

Which accounting principle did the company apply?

- A matching
- B materiality
- C money measurement
- D prudence

34 A trader wrote off the balance on a credit customer's account as irrecoverable.

Which accounting principle was applied?

- A business entity
- B consistency
- C money measurement
- D prudence

- 35** A limited company applied the accounting objective of comparability in preparing its financial statements.

What is the effect of this on the interested parties?

- A** They can be sure that information in the financial statements is up to date.
- B** They can identify similarities with the financial statements of other businesses.
- C** They can understand the financial statements easily.
- D** They can use the financial statements in decision-making.

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1

May/June 2020

MARK SCHEME

Maximum Mark: 35

Published

Students did not sit exam papers in the June 2020 series due to the Covid-19 global pandemic.

This mark scheme is published to support teachers and students and should be read together with the question paper. It shows the requirements of the exam.

Mark schemes should usually be read together with the Principal Examiner Report for Teachers. However, because students did not sit exam papers, there is no Principal Examiner Report for Teachers for the June 2020 series.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the June 2020 series for most Cambridge IGCSE™ and Cambridge International A & AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	D	1
3	D	1
4	D	1
5	A	1
6	C	1
7	B	1
8	C	1
9	A	1
10	C	1
11	B	1
12	C	1
13	C	1
14	D	1
15	C	1
16	A	1
17	A	1
18	B	1
19	A	1
20	D	1
21	C	1
22	A	1
23	B	1
24	B	1
25	A	1
26	A	1
27	D	1
28	D	1

Question	Answer	Marks
29	D	1
30	D	1
31	C	1
32	B	1
33	B	1
34	D	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

October/November 2020

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



- 1 A trader prepares financial statements each year.

What do these assist the trader to do?

- A calculate the amount owing to credit suppliers
- B calculate the cash drawings
- C check the bank statement balance
- D make decisions about the future

- 2 What is **not** an example of a book-keeping entry?

- A an entry made in the bank column of the cash book for a cheque received
- B cost of goods purchased on credit entered in the supplier's account
- C expenses paid during the year entered in the income statement
- D goods returned by a customer entered in the sales returns journal

- 3 The following balances appeared in Hussein's books.

	\$
fixtures	6000
inventory	3300
trade receivables	3000
trade payables	4500
other receivables	500
other payables	300
loan to Imran	1000
bank overdraft	1400

What was the total of the liabilities?

- A \$4800 B \$6200 C \$6400 D \$7200

- 4 What does the owner's equity consist of?

- A the amount of money in the business bank account
- B the amount owed by the business to the owner
- C the total of the assets owned by the business
- D the total of the current assets less the current liabilities

- 5 Which entries did Sally make to record the following transaction?

Rashid, a credit customer, returned damaged goods.

	account to be debited	account to be credited
A	purchase returns	Rashid
B	Rashid	purchase returns
C	sales returns	Rashid
D	Rashid	sales returns

- 6 The following account appeared in the books of Mary.

Paul account

	\$		\$
April 1 balance b/d	90	April 21 returns	25
14 sales	150	30 bank	88
		discount	2
		balance c/d	125
	<u>240</u>		<u>240</u>

Which statement is correct?

- A** On 1 April Paul owed Mary \$90.
- B** On 14 April Paul sold goods, \$150, to Mary.
- C** On 21 April Mary returned goods, \$25, to Paul.
- D** On 30 April Mary owed Paul \$125.
- 7 In which sections of Zamir's ledger would the following accounts be maintained?
- the sales account
 - the account of Harjit, a trade receivable

	sales account	Harjit account
A	nominal (general) ledger	purchases ledger
B	nominal (general) ledger	sales ledger
C	purchases ledger	sales ledger
D	sales ledger	purchases ledger

- 8 Sue allows 2% cash discount to credit customers who settle their account within 28 days. Jane purchased goods, list price \$200, on 10 September. She returned these goods on 15 September.

Which entry would Sue make on 15 September?

- A purchases returns journal \$196
 - B purchases returns journal \$200
 - C sales returns journal \$196
 - D sales returns journal \$200
- 9 A transaction was posted to the wrong account of the same class.

Which type of error was made?

- A commission
 - B original entry
 - C principle
 - D reversal
- 10 Motor vehicle expenses, \$50, were incorrectly debited to the motor vehicles account.

Which journal entry corrects this error?

		debit \$	credit \$
A	motor vehicle expenses motor vehicles	50	50
B	motor vehicles motor vehicle expenses	50	50
C	motor vehicles expenses motor vehicles suspense	50 50	100
D	suspense motor vehicles expenses motor vehicles	100	50 50

- 11 Kate calculated her draft profit for the year at \$28 400.

She later discovered the following errors.

- 1 Rent prepaid by Kate was understated by \$1000.
- 2 Closing inventory was understated by \$1500.

What was the correct profit for the year?

- A** \$25 900 **B** \$27 900 **C** \$28 900 **D** \$30 900

- 12 A trader's bank statement showed a credit balance of \$2940. The following items had not been entered in the cash book.

	\$
bank interest received	70
credit transfer	280

What was the debit balance in the cash book before it was updated?

- A** \$2590 **B** \$2730 **C** \$3150 **D** \$3290

- 13 What is a purpose of preparing a sales ledger control account?

- A** to identify irrecoverable debts
B to make fraud more difficult
C to provide the total owed to trade payables
D to show the total of cash and credit sales

- 14 George is preparing his purchases ledger control account.

Which information would he obtain from his general journal?

- A** contra entries with the sales ledger
B goods returned to credit suppliers
C irrecoverable debts written off
D refunds received from credit suppliers

- 15** A trader debited the cost of repairing office equipment to the office equipment account.

How did this error affect the financial statements?

	profit for the year	non-current assets
A	overstated	overstated
B	overstated	understated
C	understated	overstated
D	understated	understated

- 16** Rashid provided the following information at 31 December.

	\$
machinery at cost	52 000
provision for depreciation of machinery	23 000

Depreciation for the year is calculated at 20% on cost.

After the statement of financial position was prepared it was found that the machinery repairs costing \$2000 had been debited to the machinery account.

What is the correct balance on the provision for the depreciation of machinery account?

- A** \$21000 **B** \$22600 **C** \$23400 **D** \$25000

- 17** A machine which cost \$32 000 was sold for \$14 000. The total depreciation at the date of disposal was \$15 000.

What was the profit or loss on disposal?

- A** \$3000 profit
B \$3000 loss
C \$18 000 profit
D \$18 000 loss

- 18** Beena maintains a provision for doubtful debts of 3% of the trade receivables at the end of each financial year.

On 1 September 2019 the provision for doubtful debts was \$900.

On 31 August 2020 the trade receivables amounted to \$42 800.

Which journal entry did Beena make on 31 August 2020?

		debit \$	credit \$
A	income statement provision for doubtful debts	384	384
B	income statement provision for doubtful debts	1284	1284
C	provision for doubtful debts income statement	384	384
D	provision for doubtful debts income statement	1284	1284

- 19** Nirmal sells two products, product G and product H.

The following information is available about his inventory at the end of the financial year.

product	number of units	cost price per unit	net realisable value per unit
G	1000	\$2.00	\$2.50
H	800	\$1.50	\$1.20

It was found that 100 units of product G were damaged and were unsaleable.

What was the total value of Nirmal's inventory?

- A** \$2760 **B** \$3000 **C** \$3260 **D** \$3460

- 20** What is **not** a service business?

- A** hairdressing salon
B accountant's practice
C supermarket
D computer repair shop

- 21** The financial year of Peter ends on 30 September. On 1 August 2020 Peter received rent \$1000. This covered the period from 1 July to 30 November 2020.

Which entry will be made in Peter's statement of financial position on 30 September 2020?

- A** current asset \$400
- B** current asset \$500
- C** current liability \$400
- D** current liability \$500

- 22** In addition to a share of the profit a partner receives interest on capital, a salary and is charged interest on drawings.

How are these recorded in the ledger accounts of the partner?

	interest on capital	salary	interest on drawings
A	credit capital account	credit current account	debit capital account
B	credit current account	debit capital account	credit current account
C	credit current account	credit current account	debit current account
D	debit current account	debit current account	credit current account

- 23** A sports club provided the following information.

	\$
subscriptions for the year	26 800
profit on sale of refreshments	4 200
depreciation	1 500
rent and insurance	12 600
wages	3 200

What was the total income for the year?

- A** \$15 800
- B** \$17 300
- C** \$22 600
- D** \$31 000

- 24** A club was formed on 1 July 2019.

During the year ended 30 June 2020 subscriptions received from members totalled \$2500.

This included \$120 paid in advance for the next financial year. Subscriptions outstanding on 30 June 2020 amounted to \$280.

How much was recorded for subscriptions in the income and expenditure account for the year ended 30 June 2020?

- A** \$2100 **B** \$2500 **C** \$2660 **D** \$2780

- 25** Anthony does not keep a full set of accounting records. He knows his opening and closing cash balances and wishes to calculate his cash sales.

Which item does Anthony **not** need in order to calculate his cash sales?

- A** cash banked
B cash discount
C cash drawings
D cash expenses

- 26** A trader has not maintained a full set of accounting records.

How can she calculate the credit sales for the year?

- A** receipts from credit customers + closing trade receivables – discount allowed – opening trade receivables
B receipts from credit customers – closing trade receivables + discount allowed + opening trade receivables
C receipts from credit customers – closing trade receivables – discount allowed + opening trade receivables
D receipts from credit customers + closing trade receivables + discount allowed – opening trade receivables

- 27** A trader made the following forecasts for the business for the next financial year.

average inventory	\$80 000
rate of inventory turnover	6 times
mark-up	25%

What are the forecast sales for the next financial year?

- A** \$360 000 **B** \$480 000 **C** \$576 000 **D** \$600 000

28 A company provided the following information about its current ratio.

year 1	2.3 : 1
year 2	2.4 : 1
year 3	2.5 : 1

What would explain the changes in the ratio?

- A** Inventory is decreasing.
- B** Other payables are increasing.
- C** Other receivables are increasing.
- D** Trade receivables are decreasing.

29 A trader wants to improve his gross margin.

How can this be done?

- A** Reduce administrative expenses.
- B** Reduce depreciation of equipment.
- C** Reduce rate of cash discount allowed.
- D** Reduce rate of trade discount allowed.

30 Meesha provided the following information for her first year of trading.

	\$
sales (1000 units at \$10 each)	10 000
cost of sales (1000 units at \$4.50 each)	4 500
gross profit	5 500

In her second year of trading, Meesha reduced the selling price and sold 1500 units. Her gross profit decreased by \$250. There was no change in the cost per unit.

What was the total value of sales in the second year of trading?

- A** \$9750
- B** \$10 250
- C** \$12 000
- D** \$12 500

- 31** AB Limited and CD Limited both started business on 1 January 2019 with an ordinary share capital of \$100 000. Neither company had any debentures or loans.

Both companies had the same profit in 2019.

Only AB Limited paid a dividend.

The return on capital employed (ROCE) was calculated using closing capital employed.

Which statement about AB Limited's ROCE is correct when compared to that of CD Limited?

- A** It is higher because the dividend reduced retained earnings.
- B** It is lower because the dividend reduced capital employed.
- C** It is lower because the dividend reduced the profit for the year.
- D** It is the same as that of CD Limited.
- 32** Which interested party uses the financial statements of a business to assess current performance and plan for future activities?
- A** banks
- B** employees
- C** government
- D** managers
- 33** The special skills of the employees are not recorded in the financial statements of a business.
- Which accounting principle is being applied?
- A** historic cost
- B** materiality
- C** money measurement
- D** realisation

- 34** How can a business comply with the accounting principle of prudence?

	assets	losses
A	avoid overstating	avoid overstating
B	avoid overstating	avoid understating
C	avoid understating	avoid overstating
D	avoid understating	avoid understating

- 35** What is **not** an aim of international accounting standards?
- A** to ensure accounting standards in different countries agree
 - B** to establish an organisation to set standards in every country
 - C** to make it easier to compare companies' financial statements
 - D** to reduce the variety of accounting practices worldwide

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 12

October/November 2020

MARK SCHEME

Maximum Mark: 35

Published

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Question	Answer	Marks
1	D	1
2	C	1
3	B	1
4	B	1
5	C	1
6	A	1
7	B	1
8	D	1
9	A	1
10	A	1
11	D	1
12	A	1
13	B	1
14	A	1
15	A	1
16	B	1
17	B	1
18	A	1
19	A	1
20	C	1
21	C	1
22	C	1
23	D	1
24	C	1
25	B	1
26	D	1
27	D	1
28	C	1

Question	Answer	Marks
29	D	1
30	C	1
31	A	1
32	D	1
33	C	1
34	B	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1 Multiple Choice

May/June 2021

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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1 Which statements about book-keeping and accounting are correct?

- 1 Accounting is performed periodically rather than daily.
- 2 Accounting relies on having accurate book-keeping records.
- 3 Book-keeping includes the preparation of financial statements.
- 4 Book-keeping involves the recording of financial transactions.

A 1, 2 and 4 **B** 1 and 3 **C** 2, 3 and 4 **D** 2 and 4 only

2 What increases owner's capital?

- A** bank loan extended from five to ten years
- B** purchase of inventory on credit
- C** purchase of machinery by cheque
- D** transfer of vehicle to business from private use

3 Carl, a trader, took goods from the business for his own use. These goods had cost \$100, and \$8 carriage had been paid for them to be delivered to the business.

How would this be recorded in Carl's accounts in the books of the business?

- A** debit Carl's capital account \$100
- B** debit Carl's capital account \$108
- C** debit Carl's drawings account \$100
- D** debit Carl's drawings account \$108

4 Shula's financial year ends on 31 March. On 1 April 2021 there was a credit balance of \$100 on Yasmin's account in Shula's purchases ledger.

What does this mean?

- A** Shula had paid \$100 to Yasmin.
- B** Shula owed \$100 to Yasmin.
- C** Yasmin had paid \$100 to Shula.
- D** Yasmin owed \$100 to Shula.

5 Hasina buys radios from Nazneen at a list price of \$10 each. Hasina bought 12 radios and was offered 20% trade discount and 4% cash discount. Two radios were faulty and were returned to Nazneen.

What was the total of the credit note issued by Nazneen?

- A** \$15.36 **B** \$16.00 **C** \$19.20 **D** \$20.00

6 Which items would be recorded in the general journal of a bakery?

- 1 correction of an error of principle relating to an oven repair
- 2 purchase of a delivery vehicle on credit
- 3 purchase of flour on credit
- 4 return by a customer of a faulty batch of bread

A 1 and 2 **B** 1 and 3 **C** 2 and 4 **D** 3 and 4

7 Alisha entered the credit notes she received in March in the correct returns journal.

How was the total of this journal recorded in the ledger at the end of the month?

- A** credit purchases returns account
- B** credit sales returns account
- C** debit purchases returns account
- D** debit sales returns account

8 Which item would **not** be shown on a bank statement?

- A** a cheque returned by the bank marked as 'refer to drawer'
- B** a monthly payment made for electricity by direct debit
- C** bank charges
- D** unpresented cheques

9 Which statement about a purchases ledger control account is **not** correct?

- A** It acts as a check on the balance of the purchases account.
- B** It includes transactions relating to all the credit suppliers.
- C** It is prepared using information from the books of prime entry.
- D** It provides proof of the arithmetical accuracy of the purchases ledger.

10 Javid's sales ledger control account had a debit balance of \$12 000. Interest on an overdue account, \$40, and discount allowed, \$150, had been omitted.

What was the correct balance on the sales ledger control account?

A \$11 810 **B** \$11 890 **C** \$12 110 **D** \$12 190

11 What is the effect of treating an item of capital expenditure as revenue expenditure?

- 1 Cost of non-current assets is overstated.
- 2 Cost of non-current assets is understated.
- 3 Depreciation for the year is overstated.
- 4 Depreciation for the year is understated.

A 1 and 3 **B** 1 and 4 **C** 2 and 3 **D** 2 and 4

12 Why does a business provide for depreciation on non-current assets?

- A** to charge the cost of non-current assets against profit in the year of purchase
- B** to ensure that non-current assets appear at book value in the statement of financial position
- C** to ensure that the matching principle is applied when preparing financial statements
- D** to retain cash in the business for replacement of non-current assets

13 Machinery which had cost \$6290 was sold for \$3100. The disposal account showed a profit on disposal of \$584.

How much was the depreciation up to the date of disposal and on which side of the disposal account was it recorded?

- A** \$2606 on the credit side
- B** \$2606 on the debit side
- C** \$3774 on the credit side
- D** \$3774 on the debit side

14 The following ledger account appeared in the books of a trader.

Rent receivable account					
		\$			\$
2020			2020		
Dec 31	balance c/d	600	Jan 1	balance b/d	400
			Dec 31	bank	3600

Which entry was made in the income statement for the year ended 31 December 2020 for rent receivable?

- A** \$3400 credit
- B** \$3400 debit
- C** \$3800 credit
- D** \$3800 debit

15 Why does a business maintain a provision for doubtful debts account?

- A** to apply the accounting principle of prudence
- B** to avoid profit for the year being understated
- C** to have an accurate forecast of debts which will be uncollectible
- D** to reduce the expense of irrecoverable debts in the future

16 How should inventory be valued?

- A** cost
- B** higher of cost and net realisable value
- C** lower of cost and net realisable value
- D** net realisable value

17 What are the advantages of being a sole trader?

	easy to raise finance	entitled to all profit	has total control	has unlimited liability
A	✓			✓
B			✓	✓
C	✓	✓	✓	
D		✓	✓	

18 Which items would appear in the income statement of a service business?

	gross profit	profit for the year	surplus
A	✓	✓	x
B	✓	x	✓
C	x	✓	x
D	x	x	✓

19 A business provided the following information.

	\$
long-term loan	20 000
trade receivables	12 000
trade payables	9 700
bank overdraft	2 000
prepaid insurance	400
accrued wages	1 000
rent receivable prepaid	500

What was the total of the current liabilities?

- A** \$13 200 **B** \$15 400 **C** \$31 200 **D** \$32 700

20 What is added to owner's capital to calculate capital employed?

- A** current assets
B current liabilities
C non-current assets
D non-current liabilities

21 On 1 April 2020 Ahmed had a provision for doubtful debts of \$290. The following journal entry was made on 31 March 2021.

	debit \$	credit \$
provision for doubtful debts	25	
income statement		25

What was the provision for doubtful debts deducted from trade receivables in Ahmed's statement of financial position on 31 March 2021?

- A** \$25 **B** \$265 **C** \$290 **D** \$315

- 22 X Limited started the year with an ordinary share capital of \$100 000.

An ordinary share dividend of \$3000 was paid during the year.

Later a further \$10 000 of ordinary shares were issued.

The profit for the year was \$8000.

By how much had equity increased at the end of the year?

- A** \$7000 **B** \$10 000 **C** \$15 000 **D** \$18 000

- 23 Which providers of funds to a limited liability company receive a fixed rate of return on their investment?

	ordinary shareholders	preference shareholders	debenture holders
A	✓	✓	✓
B	✓	✗	✓
C	✗	✓	✓
D	✗	✓	✗

- 24 Every member of a sports club is required to pay an annual subscription of \$50. The subscriptions account showed the following.

Subscriptions account					
		\$			\$
2020			2020		
Jan 1	Balance b/d	350	Dec 31	Bank	10 950
Dec 31	Income and expenditure account	10 900		Balance c/d	750
	Balance c/d	450			
		<u>11 700</u>			<u>11 700</u>
2021			2021		
Jan 1	Balance b/d	750	Jan 1	Balance b/d	450

What was the **increase** in the number of members in arrears between 1 January and 31 December 2020?

- A** 2 members
B 6 members
C 8 members
D 17 members

25 Which term is used to describe the surpluses which have been earned by a club over its lifetime?

- A** accumulated fund
- B** capital
- C** retained earnings
- D** subscriptions

26 Nula provided the following information for the year ended 31 March 2021.

	\$
drawings for the year	3 900
net assets at 1 April 2020	60 500
net assets at 31 March 2021	72 275

What was the profit or loss for the year ended 31 March 2021?

- A** \$7875 loss
- B** \$7875 profit
- C** \$15675 loss
- D** \$15675 profit

27 A trader who does not keep full accounting records was able to supply the following information.

	\$
amount owed by trade receivables at 1 April 2020	3 000
cheques received from trade receivables during the year	28 000
cash discounts given to trade receivables	1 500
amount owed by trade receivables at 31 March 2021	4 200

How much were the credit sales for the year ended 31 March 2021?

- A** \$25 300 **B** \$27 700 **C** \$28 300 **D** \$30 700

28 A trader provided the following information.

	\$
revenue	120 000
inventory at the start of the year	9 600
inventory at the end of the year	10 200

A mark-up of 25% is applied.

What were the purchases for the year?

- A** \$89 400 **B** \$90 600 **C** \$95 400 **D** \$96 600

29 George provided the following information.

	\$
non-current assets	15 000
inventory	12 000
trade receivables	18 000
trade payables	8 000

His liquid (acid test) ratio was 1.2 : 1.

What was his bank overdraft?

- A** \$7 000 **B** \$15 000 **C** \$17 000 **D** \$29 500

30 A trader provided the following information.

	\$	\$
revenue		3600
opening inventory	100	
purchases	<u>2600</u>	
	2700	
closing inventory	<u>300</u>	<u>2400</u>
gross profit		<u>1200</u>

It was found that the closing inventory should have been \$400.

What was the correct rate of inventory turnover?

- A 6 times
- B 8 times
- C 9.2 times
- D 14.4 times

31 The current ratio of X is 2 : 1. The current ratio of Y is 1.3 : 1.

What does a comparison of these ratios show?

- A X has fewer liabilities than Y.
- B X has more liquidity than Y.
- C Y has fewer current assets than X.
- D Y has more inventory than X.

32 Which external parties would be interested in the financial statements of a trader?

- 1 a bank manager considering a request by the trader for a loan
- 2 a trade union seeking a wage increase for the employees
- 3 the business manager making decisions about how to increase profits
- 4 the trader deciding if drawings could be increased

- A 1, 3 and 4
- B 1 and 2 only
- C 2, 3 and 4
- D 2 and 3 only

33 Sabeena runs a retail business. She plans to close her business in a few weeks' time.

How should her fixtures and fittings be valued in the statement of financial position?

- A** at book value
- B** at expected sales value
- C** at original cost
- D** at replacement cost

34 Why should a trader match his costs for a financial year with the revenues for the same period?

- A** to account for all liabilities
- B** to account for money that has been paid in advance
- C** to make sure outstanding income is included
- D** to show the correct profit figure

35 Which international accounting objectives are described by the following statements?

- 1 Information in financial statements must be free from material error and bias.
- 2 Users must be able to identify differences and similarities between information in different financial statements.

	statement 1	statement 2
A	comparability	understandability
B	reliability	comparability
C	reliability	understandability
D	understandability	reliability

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1

May/June 2021

MARK SCHEME

Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2021 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	D	1
3	D	1
4	B	1
5	B	1
6	A	1
7	A	1
8	D	1
9	A	1
10	B	1
11	D	1
12	C	1
13	C	1
14	A	1
15	A	1
16	C	1
17	D	1
18	C	1
19	A	1
20	D	1
21	B	1
22	C	1
23	C	1
24	C	1
25	A	1
26	D	1
27	D	1
28	D	1

Question	Answer	Marks
29	A	1
30	C	1
31	B	1
32	B	1
33	B	1
34	D	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

May/June 2021

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Which statements about book-keeping and accounting are correct?

- 1 Accounting is performed periodically rather than daily.
- 2 Accounting relies on having accurate book-keeping records.
- 3 Book-keeping includes the preparation of financial statements.
- 4 Book-keeping involves the recording of financial transactions.

A 1, 2 and 4 **B** 1 and 3 **C** 2, 3 and 4 **D** 2 and 4 only

2 What increases owner's capital?

- A** bank loan extended from five to ten years
- B** purchase of inventory on credit
- C** purchase of machinery by cheque
- D** transfer of vehicle to business from private use

3 William paid \$500 in cash to Sonia for rent.

How did Sonia record this?

	account debited	account credited
A	cash	rent receivable
B	rent receivable	cash
C	rent receivable	William
D	William	rent receivable

4 Abdul buys all his machinery on credit. He provided the following information.

	at 30 April 2020 \$	at 30 April 2021 \$
machinery at cost	30 000	42 000
amounts owing to suppliers of machinery	19 000	?

During the year Abdul paid \$25 000 to the suppliers of his machinery.

How much did he owe them on 30 April 2021?

A \$6000 **B** \$13 000 **C** \$17 000 **D** \$32 000

- 5 Shula's financial year ends on 31 March. On 1 April 2021 there was a credit balance of \$100 on Yasmin's account in Shula's purchases ledger.

What does this mean?

- A Shula had paid \$100 to Yasmin.
 - B Shula owed \$100 to Yasmin.
 - C Yasmin had paid \$100 to Shula.
 - D Yasmin owed \$100 to Shula.
- 6 Hasina buys radios from Nazneen at a list price of \$10 each. Hasina bought 12 radios and was offered 20% trade discount and 4% cash discount. Two radios were faulty and were returned to Nazneen.

What was the total of the credit note issued by Nazneen?

- A \$15.36 B \$16.00 C \$19.20 D \$20.00
- 7 Jameel sold goods on credit.
- Where did he first record the invoice he issued?
- A general journal
 - B general ledger
 - C sales journal
 - D sales ledger
- 8 Which statements about a three-column cash book are correct?

- 1 It contains ledger accounts for bank and cash.
- 2 It contains ledger accounts for discounts allowed and received.
- 3 It records transactions before they are recorded in the ledgers.

- A 1 and 2 B 1 and 3 C 2 and 3 D 3 only
- 9 Which statement is **not** true about a trial balance?
- A It is a list of ledger account balances at a certain date.
 - B It can assist in finding arithmetical errors.
 - C It is part of the double entry system.
 - D It is useful in preparing financial statements.

10 Which error is an error of original entry?

- A** sale of surplus office equipment on credit to Janet for \$230 entered as \$320 in both the disposal account and Janet's account
- B** sale of surplus office equipment on credit to Janet for \$230 entered in the office equipment account and Jason's account
- C** sale of surplus office equipment on credit to Janet for \$230 entered in the sales account and Janet's account
- D** sale of surplus office equipment on credit to Janet for \$230 not entered in any accounts

11 A cheque, \$85, received from Shakeel, was credited to the account of Shamz.

Which journal entry corrects this error?

		debit \$	credit \$
A	bank Shakeel	85	85
B	Shakeel Shamz	85	85
C	Shamz bank	85	85
D	Shamz Shakeel	85	85

12 Jamal's bank statement at 1 May 2021 showed a bank overdraft of \$1460.

At that date there were unpresented cheques of \$385 and uncredited deposits of \$255.

What was the cash book balance on 1 May 2021?

- A** \$1330 credit
- B** \$1330 debit
- C** \$1590 credit
- D** \$1590 debit

13 What is included in a purchases ledger control account?

- A** cash purchases
- B** debts written off as irrecoverable
- C** discount allowed
- D** goods returned to credit suppliers

- 14 Javid's sales ledger control account had a debit balance of \$12 000. Interest on an overdue account, \$40, and discount allowed, \$150, had been omitted.

What was the correct balance on the sales ledger control account?

- A \$11 810 B \$11 890 C \$12 110 D \$12 190

- 15 Which statements about capital expenditure are correct?

- 1 It is money spent on day-to-day business operations.
- 2 It is money spent on purchasing non-current assets.
- 3 It is recorded in the statement of financial position.
- 4 It includes expenses relating to non-current assets.

- A 1 and 3 B 1 and 4 C 2 and 3 D 2 and 4

- 16 Nia sold equipment with a net book value of \$200. The proceeds of the sale, \$250, were credited to the sales account and debited in the cash book.

What was the **effect** of this error on Nia's gross profit and profit for the year?

	gross profit	\$	profit for the year	\$
A	overstated	50	overstated	50
B	overstated	200	understated	250
C	overstated	250	overstated	200
D	understated	250	understated	200

- 17 Why does a business provide for depreciation on non-current assets?

- A to charge the cost of non-current assets against profit in the year of purchase
 B to ensure that non-current assets appear at book value in the statement of financial position
 C to ensure that the matching principle is applied when preparing financial statements
 D to retain cash in the business for replacement of non-current assets

- 18 A machine with an original cost of \$10 000 had been depreciated for two years at the rate of 10% per annum using the straight-line basis. It was then sold for cash with the loss on disposal amounting to \$700.

A replacement machine was bought on the same day for \$12 400 cash.

What was the net decrease in the cash balance?

- A \$3700 B \$5100 C \$11 700 D \$13 100

- 19** Why would a bakery business **not** include a value for inventory of stationery in the statement of financial position?
- A** It was expected it would be used in the next few months.
- B** It was purchased regularly and paid for in cash.
- C** It was not for resale.
- D** It was of very low value.
- 20** Shilpa's financial year ends on 30 April. On 31 March 2021 she wrote off a debt owed by Tahir as irrecoverable.

Which entry did Shilpa make on 31 March 2021?

	debit	credit
A	income statement	Tahir
B	irrecoverable debts	income statement
C	irrecoverable debts	Tahir
D	Tahir	irrecoverable debts

- 21** How should inventory be valued?
- A** cost
- B** higher of cost and net realisable value
- C** lower of cost and net realisable value
- D** net realisable value
- 22** James is an accountant and operates as a sole trader.

Which items would **not** appear in his statement of financial position?

- 1 long-term loan
- 2 retained earnings
- 3 trade payables

- A** 1 and 2 **B** 1 and 3 **C** 2 only **D** 2 and 3

23 Zaha is a consultant who receives fees from clients.

How would Zaha calculate his profit for the year?

- A** fees received – cost of sales
- B** fees received – cost of sales + expenses
- C** fees received + expenses
- D** fees received – expenses

24 What is added to owner's capital to calculate capital employed?

- A** current assets
- B** current liabilities
- C** non-current assets
- D** non-current liabilities

25 What is an advantage of forming a partnership?

- A** Decisions have to be recognised by all partners.
- B** Each partner is responsible for actions of other partners.
- C** Profits have to be shared among the partners.
- D** Responsibilities can be shared between the partners.

26 Ann and Ben are in partnership sharing profits and losses equally.

They provided the following information for the year ended 30 April 2021.

		\$
profit for the year		20 000
interest on capital: Ann		5 000
	Ben	4 000
drawings: Ann		8 000
	Ben	7 000

What was Ben's share of the residual profit?

- A** \$5500
- B** \$10 000
- C** \$13 000
- D** \$14 500

27 Which statement about a receipts and payments account is **incorrect**?

- A** It includes amounts prepaid at the end of the year.
- B** It shows the surplus for the year.
- C** Non-monetary items are excluded.
- D** The balance represents cash and bank balances.

28 How does a manufacturer calculate prime cost?

- A** direct material + direct labour
- B** direct material + direct labour + direct expenses
- C** direct material + direct labour + direct expenses + factory overheads
- D** direct material + direct labour + factory overheads

29 Nula provided the following information for the year ended 31 March 2021.

	\$
drawings for the year	3 900
net assets at 1 April 2020	60 500
net assets at 31 March 2021	72 275

What was the profit or loss for the year ended 31 March 2021?

- A** \$7875 loss
- B** \$7875 profit
- C** \$15675 loss
- D** \$15675 profit

30 A trader provided the following information.

	\$
cost of sales	80 000
expenses	4 000
profit for the year	16 000

What was the profit margin?

- A** 16%
- B** 20%
- C** 21.05%
- D** 26.67%

31 A trader provided the following information.

	\$	\$
revenue		3600
opening inventory	100	
purchases	<u>2600</u>	
	2700	
closing inventory	<u>300</u>	<u>2400</u>
gross profit		<u>1200</u>

It was found that the closing inventory should have been \$400.

What was the correct rate of inventory turnover?

- A 6 times
- B 8 times
- C 9.2 times
- D 14.4 times

32 Sally's business has reached the overdraft limit set by the bank of \$1500 and is not able to pay its debts when they fall due.

Sally is considering the following proposals.

- 1 asking the bank to increase the bank overdraft limit to \$2000
- 2 borrowing \$2000 from a relative and paying the money back in six months
- 3 obtaining a loan from the bank of \$2000 repayable in two years
- 4 paying \$2000 from Sally's personal bank account into the business bank account

Which proposals will improve the working capital of the business?

- A 1 and 2
- B 1 and 4
- C 2 and 3
- D 3 and 4

33 Company X and Company Y provided the following information.

	Company X	Company Y
gross margin	36.7%	42.6%
profit margin	5.4%	5.4%

Which statement is correct?

- A** Both companies earned the same amount of profit for the year.
- B** Company X had a better gross margin than Company Y.
- C** Company Y had a larger proportion of expenses than Company X.
- D** The cost of sales of Company X was lower than that of Company Y.

34 The current ratio of X is 2 : 1. The current ratio of Y is 1.3 : 1.

What does a comparison of these ratios show?

- A** X has fewer liabilities than Y.
- B** X has more liquidity than Y.
- C** Y has fewer current assets than X.
- D** Y has more inventory than X.

35 Which international accounting objectives are described by the following statements?

- 1 Information in financial statements must be free from material error and bias.
- 2 Users must be able to identify differences and similarities between information in different financial statements.

	statement 1	statement 2
A	comparability	understandability
B	reliability	comparability
C	reliability	understandability
D	understandability	reliability

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1

May/June 2021

MARK SCHEME

Maximum Mark: 35

Published

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Question	Answer	Marks
1	A	1
2	D	1
3	A	1
4	A	1
5	B	1
6	B	1
7	C	1
8	B	1
9	C	1
10	A	1
11	D	1
12	C	1
13	D	1
14	B	1
15	C	1
16	C	1
17	C	1
18	B	1
19	D	1
20	C	1
21	C	1
22	D	1
23	D	1
24	D	1
25	D	1
26	A	1
27	B	1
28	B	1

Question	Answer	Marks
29	D	1
30	A	1
31	C	1
32	D	1
33	C	1
34	B	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

October/November 2021

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Which statement is correct?

- A** The accountant prepares the trial balance and the book-keeper prepares the financial statements.
- B** The accountant writes up the journals and the book-keeper writes up the ledger accounts.
- C** The book-keeper writes up the journals and the accountant prepares the trial balance.
- D** The book-keeper writes up the ledger accounts and the accountant prepares the financial statements.

2 Which formulas may be used for the accounting equation?

- 1 assets = owner's equity minus liabilities
- 2 liabilities = assets minus owner's equity
- 3 owner's equity = assets plus liabilities
- 4 owner's equity plus liabilities = assets

- A** 1 and 2 **B** 1 and 3 **C** 2 and 4 **D** 3 and 4

3 Goods purchased on credit from Zamir were returned by Ashwin.

Which entries should Zamir make to record this?

	account debited	account credited
A	Ashwin	purchase returns
B	purchase returns	Zamir
C	sales returns	Ashwin
D	Zamir	sales returns

4 During her first financial year, a trader paid \$1800 for insurance and \$3200 for rent.

At the end of the financial year, she transferred insurance of \$1500 and rent of \$3600 to the income statement.

What do the balances remaining on the accounts at the end of the financial year represent?

	insurance account	rent account
A	accrued expense	accrued expense
B	accrued expense	prepaid expense
C	prepaid expense	accrued expense
D	prepaid expense	prepaid expense

- 5 Leah bought goods, \$8000, less 15% trade discount. She later returned half of these goods as they were faulty.

Which document did Leah issue to the supplier for the returned goods?

- A credit note for \$3400
- B debit note for \$3400
- C credit note for \$4000
- D debit note for \$4000

- 6 What is a cheque counterfoil used for?

- A to make a credit entry in the bank column of a cash book
- B to make a debit entry in the bank column of a cash book
- C to send a payment to a supplier
- D to send proof of payment to a customer

- 7 Farouk sells goods on credit. A cheque from Khalid, a credit customer, was dishonoured by the bank.

How should Farouk record this?

	account to be debited	account to be credited
A	bank	Khalid
B	irrecoverable debts	Khalid
C	Khalid	bank
D	Khalid	irrecoverable debts

- 8 Why does a supplier offer trade discount?

- A to avoid irrecoverable debts
- B to encourage bulk buying
- C to encourage payment in cash
- D to reward prompt payment

- 9 Ann maintains a petty cash book using the imprest system.

Which statement is **not** correct?

- A A petty cash book can be maintained by a junior member of staff.
- B At any time petty cash vouchers plus the petty cash balance are equal to the imprest amount.
- C The chief cashier is not asked continually for small sums of money.
- D The number of entries in the cash book increases because of the large number of small cash payments.

- 10 A sales invoice for \$800 was incorrectly recorded in the sales journal as \$1800.

How did this error affect the trial balance?

- A The trial balance balanced but both totals were overstated by \$1000.
- B The trial balance balanced but both totals were understated by \$1000.
- C The trial balance did not balance because the credits were overstated by \$1000.
- D The trial balance did not balance because the debits were understated by \$1000.

- 11 A standing order paid for rent has not been entered into the accounting records of a business.

Which statement is correct?

- A Because the payment was made automatically, no additional entries are required in the accounting records.
- B Because the payment was made automatically, only an entry in the rent account is required.
- C Entries are required in the cash book and in the bank reconciliation statement.
- D Entries are required in the cash book and in the nominal (general) ledger.

- 12 The bank statement of a business had a credit balance of \$2690 on 1 October 2021. At that date cheques totalling \$850 had not yet been presented for payment.

What was the bank balance in the cash book on 1 October 2021?

- A \$1840 credit
- B \$1840 debit
- C \$3540 credit
- D \$3540 debit

- 13** A trader has purchased new business premises.

What are examples of capital expenditure?

- 1 cost of heating and lighting the new premises
- 2 cost of purchasing the new premises
- 3 legal costs of purchasing the new premises
- 4 office furniture purchased for use in the new premises

A 1 and 2 only **B** 1, 2 and 4 **C** 2, 3 and 4 **D** 3 and 4 only

- 14** Two companies each purchased a motor vehicle for \$10 000 at the beginning of year 1. Company G used the straight-line method of depreciation at a rate of 15% per annum, while Company H used the reducing balance method at a rate of 20% per annum.

What was the difference in the depreciation charge between the two companies for year 2?

- A** \$100 greater for G
B \$100 greater for H
C \$500 greater for G
D \$500 greater for H

- 15** At the end of the financial year Mui had prepaid rent of \$1500.

How should she record this?

- A** credit \$1500 in the rent account and carry down as a credit balance
B credit \$1500 in the rent account and carry down as a debit balance
C debit \$1500 in the rent account and carry down as a credit balance
D debit \$1500 in the rent account and carry down as a debit balance

16 After preparing draft financial statements at the end of her first year of trading, Lucy discovered two errors.

- 1 Damaged inventory had been valued at cost price, \$340. It was expected to sell for \$180.
- 2 100 items which had been expected to sell for \$12 each had been valued at their cost price of \$7 each. Carriage inwards of \$1 for each item had not been included in the cost.

What was the **effect** of these errors on the gross profit?

- A** overstated \$60
- B** overstated \$240
- C** understated \$60
- D** understated \$240

17 Which is an advantage and a disadvantage of operating as a sole trader?

	advantage	disadvantage
A	gains all the profit	bears all the risk
B	gains all the profit	controls the decision-making
C	provides all the capital	bears all the risk
D	provides all the capital	controls the decision-making

18 What is shown in the capital and liabilities section of a statement of financial position of a business?

- A** how the resources are being used by the business
- B** the working capital of the business
- C** total amounts owed by and to the business
- D** where the resources of the business have come from

19 John maintains a full set of accounting records.

Why does he also prepare a statement of financial position?

- A** to calculate the profit for the year
- B** to check if assets equal capital plus liabilities
- C** to show the transactions which took place during the year
- D** to summarise what the business owns and what it owes

- 20** A sole trader paid off the business's overdraft using his own personal funds.

How did this affect the statement of financial position?

	liabilities	capital	assets
A	no effect	increase	increase
B	decrease	increase	increase
C	decrease	increase	no effect
D	decrease	no effect	increase

- 21** Hassin found that he needed help to run his business. He decided to take a partner rather than employ an assistant.

Why did he decide to take a partner?

- 1 An assistant would not interfere with how the shop was run.
- 2 An assistant would not share risk.
- 3 A partner would introduce some additional capital.
- 4 A partner would take a share of the profit.

- A** 1 and 3 **B** 1 and 4 **C** 2 and 3 **D** 2 and 4

- 22** Anwar is a sole trader making annual profits of \$24 000. He decides to admit Dilip as a partner. They agree that Anwar would receive a salary, and profits and losses would be shared equally.

The forecast appropriation account for the partnership's first year of trading is:

	\$
profit for the year	50 000
salary Anwar	<u>10 000</u>
profit available for distribution	<u>40 000</u>

By how much will Anwar's total income increase?

- A** \$1000 **B** \$6000 **C** \$16 000 **D** \$26 000

23 BCD Limited provided the following information.

	\$
ordinary shares	300 000
retained earnings	200 000
debentures	170 000

How much was the equity and the capital employed?

	equity \$	capital employed \$
A	300 000	470 000
B	300 000	670 000
C	500 000	470 000
D	500 000	670 000

24 The issued share capital of CD Limited consists of ordinary shares.

Retained earnings were \$86 000 on 1 September 2020 and \$88 500 on 31 August 2021.

The company made a profit during the year of \$26 000 and made a transfer to general reserve of \$5000.

What was the total ordinary share dividend paid during the year?

A \$18 500 **B** \$23 500 **C** \$28 500 **D** \$33 500

25 A sports club was formed on 1 August 2020. During the year ended 31 July 2021 the club purchased equipment costing \$5000, paying by cheque.

In which of the club's financial statements did this appear?

	receipts and payments account	income and expenditure account	statement of financial position
A	✓	✓	
B	✓		✓
C		✓	✓
D			✓

- 26** A sports club has 100 members and the annual subscription is \$60.

During the year ended 31 August 2021:

12 members paid their outstanding subscription from the previous financial year

10 members paid their subscription in advance for the following financial year.

On 31 August 2021, subscriptions for the current financial year were still outstanding from 8 members.

What was the total amount received from members during the year ended 31 August 2021?

- A** \$5160 **B** \$5640 **C** \$6600 **D** \$6840

- 27** Beth provided the following information.

	1 January	31 December
net assets	\$28 000	\$24 000

Her drawings during the year amounted to \$3000.

What was Beth's profit or loss for the year?

- A** \$1000 loss
B \$1000 profit
C \$7000 loss
D \$7000 profit

- 28** Roshan's sales for his first year of trading were \$55 000. His gross profit margin was 20%. The closing inventory was \$3200.

What were the purchases for the year?

- A** \$41 250 **B** \$44 000 **C** \$44 450 **D** \$47 200

- 29** Which information is required to calculate the return on capital employed for a sole trader?

- A** gross profit, non-current liabilities, owner's capital
B gross profit, non-current liabilities, working capital
C operating profit for the year, non-current liabilities, owner's capital
D operating profit for the year, non-current liabilities, working capital

30 What is the best indicator of the liquidity of a business?

- A** current ratio
- B** liquid (acid test) ratio
- C** return on capital employed
- D** working capital

31 A business provided the following information about its gross margin.

Year 1 40%

Year 2 38%

Year 3 35%

What could explain the changes in the gross margin?

- A** Cost of sales is decreasing.
- B** Expenses are decreasing.
- C** Quantity of goods sold is decreasing.
- D** Selling price is decreasing.

32 Sam and Rob each own a trading business. The income of each business is solely from the sale of goods. They provided the following information for the year ended 30 June 2020.

	Sam	Rob
return on capital employed	12%	10%
gross margin	25%	30%
profit margin	14%	12%
current ratio	2.8 : 1	1.2 : 1

Which statement is correct?

- A** Rob will find it easy to pay his current liabilities.
- B** Rob's expenses are a higher proportion of his sales.
- C** Sam is not employing his capital effectively.
- D** Sam's goods are sold at a higher price.

33 Why would the owner of a business want to see his financial statements at the end of the year?

- 1 to assess the performance and progress of the business
- 2 to determine the market value of the non-current assets
- 3 to make informed decisions for the following years

A 1 only **B** 1 and 3 **C** 2 only **D** 2 and 3

34 Charlie is a car dealer. Joe wanted a new car and went to Charlie's car showroom.

On Monday Joe took a car for a test drive and decided to buy it.

On Tuesday Joe arranged to pay for the car by cheque.

On Wednesday Joe collected the car and received an invoice.

On Thursday Joe's cheque was cleared by the bank.

On which day was Charlie able to account for the profit on the sale?

- A** Monday
- B** Tuesday
- C** Wednesday
- D** Thursday

35 Which accounting objective requires that financial information is provided in time for a decision to be made?

- A** comparability
- B** relevance
- C** reliability
- D** understandability

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Cambridge IGCSE™

ACCOUNTING

0985/12

Paper 1

October/November 2021

MARK SCHEME

Maximum Mark: 40

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2021 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	C	1
4	C	1
5	B	1
6	A	1
7	C	1
8	B	1
9	D	1
10	A	1
11	D	1
12	B	1
13	C	1
14	B	1
15	B	1
16	A	1
17	A	1
18	D	1
19	D	1
20	C	1
21	C	1
22	B	1
23	D	1
24	A	1
25	B	1
26	D	1
27	A	1
28	D	1

Question	Answer	Marks
29	C	1
30	B	1
31	D	1
32	B	1
33	B	1
34	C	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1 Multiple Choice

May/June 2022

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 Which task would be carried out by a book-keeper?
- A comparison of financial statements between years
 - B preparation of financial statements
 - C provision of information for decision-making
 - D recording financial transactions

- 2 What is the accounting equation?

- A assets = capital – liabilities
- B assets = liabilities – capital
- C assets – liabilities = capital
- D assets + capital = liabilities

- 3 Sarah sold goods on credit to Zafar.

How was this recorded in Sarah's ledgers?

	general ledger		sales ledger	
A	credit	sales account	debit	Zafar account
B	debit	sales account	credit	Zafar account
C	credit	Zafar account	debit	sales account
D	debit	Zafar account	credit	sales account

- 4 Omar sent a credit note to Miriam for goods returned.

How would Miriam record this transaction?

	account to be debited	account to be credited
A	purchases returns	Omar
B	sales returns	Miriam
C	Omar	purchases returns
D	Miriam	sales returns

- 5 The discount column on the debit side of a trader's cash book totalled \$1300 and the discount column on the credit side totalled \$700.

How much discount did the trader receive?

- A \$600
- B \$700
- C \$1300
- D \$2000

- 6 Kai bought office equipment from Meena and paid immediately by bank transfer.

How should Kai record this in his accounting records?

	account to be debited	account to be credited
A	bank	Meena
B	bank	office equipment
C	Meena	bank
D	office equipment	bank

- 7 Jabari maintains a petty cash book using the imprest system. The imprest is restored at the end of each month.

Which amount restores the imprest at the end of a month?

- A** the amount left in petty cash less the total of vouchers received
- B** the amount left in petty cash plus the total of vouchers received
- C** the imprest amount less the total of vouchers received
- D** the total of vouchers received
- 8 Which statement about a trial balance is correct?
- A** It assists in locating arithmetical errors in the book-keeping records.
- B** It is proof that the entries in the ledger accounts are free from error.
- C** It reveals all book-keeping errors.
- D** It shows ledger account errors only.
- 9 What is an example of a compensating error?
- A** A payment for office equipment repairs was debited to the office equipment account.
- B** A purchase of goods from C Jones was credited to the account of C Johns.
- C** The sale of goods, \$65, to A Aziz was entered in the books as \$56.
- D** The wages account was undercast by \$100 and the rent account was overcast by \$100.

- 10 After the preparation of Abdul's draft financial statements, two errors were discovered.

The purchase of a machine by bank transfer, \$5000, was omitted from the accounts.

The purchase of a motor vehicle, \$15 000, was entered in the motor vehicle repair account.

What effect will **correcting** these errors have on the non-current assets and the working capital?

	non-current assets	working capital
	\$	\$
A	increase 15 000	decrease 5000
B	increase 15 000	no effect
C	increase 20 000	decrease 5000
D	increase 20 000	no effect

- 11 Raj had a debit balance of \$10 800 in the bank column of his cash book. He discovered that purchases, \$890, paid by cheque, had been recorded as \$980.

The following appeared in the bank statement but had not been entered in the cash book.

	\$
bank charges	76
interest received	120

What was the debit balance in the bank column of Raj's cash book after adjusting for these items?

- A** \$10 514 **B** \$10 666 **C** \$10 754 **D** \$10 934

- 12 Why is a sales ledger control account usually prepared by a different member of staff than the person who maintains the sales ledger?

- A** to deter fraud
B to locate errors
C to provide an instant total of trade receivables
D to speed production of financial statements

- 13** Tamal provided the following information for March, his first month of trading.

	\$
credit purchases	9100
credit purchases returned	322
total payments to credit suppliers	5358

During the month, Tamal overpaid a supplier by \$94. He did not make any further purchases from this supplier in March.

What were the balances on Tamal's purchases ledger control account on 1 April?

	debit balance \$	credit balance \$
A	0	3420
B	0	3514
C	94	3420
D	94	3514

- 14** The following payments were made by John when he purchased a machine.

	\$
purchase of machine	10 000
delivery charge	1 200
insurance	800
installation charge	900
pre-paid maintenance charge	400

How much should have been debited to the machinery account?

- A** \$10 900 **B** \$11 200 **C** \$12 100 **D** \$12 500

- 15** On 1 January, Zac entered the cost of repairing equipment, \$420, in the equipment account.

On 31 December, depreciation of 20% per annum, using the straight-line method, was charged on the balance of the equipment account.

What was the overall effect on the book value of the equipment on 31 December?

- A** \$84 understated
- B** \$336 overstated
- C** \$420 overstated
- D** \$504 understated

- 16** Atif depreciates his motor vehicles at a rate of 20% per annum using the reducing balance method.

On 1 May 2021, Atif owned motor vehicles which cost \$35 000. At that date, the motor vehicles had been depreciated by \$12 600.

What was the balance on Atif's provision for depreciation account on 1 May 2022?

- A** \$17 080 **B** \$17 920 **C** \$19 600 **D** \$22 400

- 17** The financial year of Yeung ends on 31 March. On 1 April 2021, he purchased a machine for \$4000.

He estimated that it would have a useful working life of 3 years and a residual value of \$100. Yeung uses the straight-line method of depreciation.

The machine was sold on 1 April 2022 for \$1500.

What was the loss on disposal?

- A** \$1100 **B** \$1200 **C** \$2400 **D** \$2500

- 18** On 1 April 2021, commission receivable, \$210, was outstanding. Commission received during the year ended 31 March 2022 amounted to \$4850.

Which journal entry should have been made at the end of the financial year on 31 March 2022?

		debit \$	credit \$
A	commission receivable income statement	4640	4640
B	commission receivable income statement	5060	5060
C	income statement commission receivable	4640	4640
D	income statement commission receivable	5060	5060

- 19** Which statement about a debts recovered account is correct?

- A** The account is used when an amount, previously written off, is received from a customer.
- B** The account is used when doubtful debts are recovered.
- C** The balance of the account is debited to the income statement at the end of the year.
- D** The balance of the account is shown in the statement of financial position.

- 20** Nula's financial year ends on 31 December. She maintains a provision for doubtful debts of 5% of trade receivables.

On 1 January 2021, the provision amounted to \$800. On 31 December 2021, trade receivables owed \$13 400, of which \$600 was regarded as irrecoverable.

How much was the provision for doubtful debts on 1 January 2022?

- A** \$600 **B** \$640 **C** \$660 **D** \$670

- 21** When preparing his financial statements, a trader valued his inventory at cost.

He then found that 10 units of inventory, costing \$12 per unit, were damaged. If he spent \$2 per unit on repairs, he could sell them for \$9 each.

What was the **effect** on the income statement of the incorrect inventory valuation?

	gross profit	profit for the year
A	overstated \$30	no effect
B	overstated \$50	overstated \$50
C	understated \$30	no effect
D	understated \$50	understated \$50

- 22** At the end of his financial year, Marek was owed \$200 for interest on a loan he had made to an employee. He recorded this in his financial statements.

How did the interest on this loan affect Marek's profit for the year and where was it recorded in his statement of financial position?

	profit for the year	statement of financial position
A	decreased	current assets
B	decreased	current liabilities
C	increased	current assets
D	increased	current liabilities

- 23** What is the purpose of preparing a partnership appropriation account?

- A** to calculate the interest to be charged on the drawings made by each partner
- B** to calculate the interest to be paid on the capital invested by each partner
- C** to show the amount of salary to which each partner is entitled
- D** to show the division of the profit or loss for the year between the partners

- 24** Raj and Seema are in partnership sharing profits and losses 2 : 1.

Raj withdrew \$5000 during the year and was charged interest at 3%. Seema did not make any withdrawals during the year.

The profit for the year was \$30 000.

How much was credited to Raj's current account at the end of the year?

- A** \$19 850 **B** \$19 900 **C** \$20 000 **D** \$20 100

25 A limited company raised funds from an issue of debentures.

Which statement is correct?

- A** The debentures are part of the equity of the company.
- B** The debenture holders cannot vote at the annual general meeting.
- C** The debenture holders are repaid only if the company is wound up.
- D** The debenture interest is paid only if the company earns a profit.

26 A limited company provided the following information.

	\$
total equity on 1 January 2021	500 000
ordinary share dividend paid 30 June 2021	25 000
transfer to general reserve on 31 December 2021	12 000
total equity on 31 December 2021	558 000

What was the profit for the year?

- A** \$46 000 **B** \$58 000 **C** \$83 000 **D** \$95 000

27 Which group contains only items included in the prime cost of a manufacturer?

- A** direct expenses, depreciation of factory machinery, royalties
- B** direct wages, factory supervisor's wages, factory insurance
- C** factory overheads, raw materials, direct expenses
- D** raw materials, royalties, direct labour

28 The work in progress of ZT Manufacturers on 1 January was valued at \$6200. At the end of the year it was valued at \$5400.

What was the effect on the cost of production for the year?

- A** decrease \$800
- B** decrease \$11 600
- C** increase \$800
- D** increase \$11 600

- 29** A trader does not keep full accounting records but was able to provide the following information.

	\$
capital at 1 January 2021	26 000
capital at 31 December 2021	37 000
drawings made during year	6 500

During the year, \$9500 was withdrawn from the owner's private bank account to purchase a motor vehicle to be used by the business.

What was the profit for the year?

- A** \$8000 **B** \$11 000 **C** \$14 000 **D** \$17 500
- 30** A business provided the following information.

opening inventory	\$6800
closing inventory	\$6000
rate of inventory turnover	5 times

What were the purchases for the year?

- A** \$29 200 **B** \$31 200 **C** \$32 000 **D** \$32 800
- 31** Jerry started his business on 1 January 2022 with no opening inventory. On 19 April 2022, a fire destroyed all his inventory.

Jerry provided the following information for the period 1 January 2022 to 19 April 2022.

revenue	\$30 200
purchases	\$25 600
gross margin	25%

What was the value of inventory destroyed on 19 April 2022?

- A** \$1800 **B** \$2950 **C** \$3450 **D** \$5750

32 A trader provided the following information.

	\$
profit for the year	24 000
working capital	20 000
capital	120 000
non-current liability	30 000

What was the return on capital employed?

- A** 14.12% **B** 16.00% **C** 17.14% **D** 20.00%

33 Which actions could a clothing retailer take to improve his rate of inventory turnover?

- 1 increase the selling prices of all clothing
- 2 offer discounts on last year's designs
- 3 pay clothing suppliers as quickly as possible

- A** 1 and 3 only **B** 1, 2 and 3 **C** 2 only **D** 3 only

34 A trader is considering selling goods on credit to a new customer.

What could be calculated from the customer's financial statements to indicate the time normally taken to pay for goods purchased on credit?

- A** current ratio
B liquid (acid test) ratio
C trade payables turnover
D trade receivables turnover

35 Which accounting policy requires that the information in financial statements is free from significant errors and bias?

- A** comparability
B consistency
C reliability
D understandability

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1

May/June 2022

MARK SCHEME

Maximum Mark: 35

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	A	1
4	C	1
5	B	1
6	D	1
7	D	1
8	A	1
9	D	1
10	C	1
11	D	1
12	A	1
13	D	1
14	C	1
15	B	1
16	A	1
17	B	1
18	A	1
19	A	1
20	B	1
21	B	1
22	C	1
23	D	1
24	D	1
25	B	1
26	C	1
27	D	1
28	C	1

Question	Answer	Marks
29	A	1
30	B	1
31	B	1
32	B	1
33	C	1
34	C	1
35	C	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

May/June 2022

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 Which task would be carried out by a book-keeper?
- A** comparison of financial statements between years
- B** preparation of financial statements
- C** provision of information for decision-making
- D** recording financial transactions
- 2 The following ledger account appeared in the books of Leah, a trader.

Amraz account					
		\$			\$
April 26	purchases returns	150	April 1	balance b/d	2100
30	bank	1900	20	purchases	3000
	discount	100			
	balance c/d	<u>2950</u>			<u> </u>
		<u>5100</u>			<u>5100</u>

Which statement is correct?

- A** Amraz allowed Leah \$100 trade discount on 30 April.
- B** Amraz owed Leah \$2100 on 1 April.
- C** Leah owed Amraz \$2950 on 30 April.
- D** Leah's net purchases from Amraz in April were \$2900.
- 3 Sarah sold goods on credit to Zafar.

How was this recorded in Sarah's ledgers?

	general ledger		sales ledger	
A	credit	sales account	debit	Zafar account
B	debit	sales account	credit	Zafar account
C	credit	Zafar account	debit	sales account
D	debit	Zafar account	credit	sales account

- 4 Omar sent a credit note to Miriam for goods returned.

How would Miriam record this transaction?

	account to be debited	account to be credited
A	purchases returns	Omar
B	sales returns	Miriam
C	Omar	purchases returns
D	Miriam	sales returns

- 5 Ben sold goods to David for \$900 cash.

In which book of prime entry would David record this transaction?

- A** cash book
B general journal
C purchases journal
D sales journal
- 6 A petty cashier received \$100 from the chief cashier and \$10 from an employee who had made private calls on the business telephone.

How would these amounts be recorded in the petty cash book and the cash book?

	debit petty cash book \$	credit petty cash book \$	debit cash book \$	credit cash book \$
A	0	110	100	0
B	10	100	0	100
C	100	10	0	100
D	110	0	0	100

- 7 What is an example of a compensating error?

- A** A payment for office equipment repairs was debited to the office equipment account.
B A purchase of goods from C Jones was credited to the account of C Johns.
C The sale of goods, \$65, to A Aziz was entered in the books as \$56.
D The wages account was undercast by \$100 and the rent account was overcast by \$100.

- 8 After the preparation of Abdul's draft financial statements, two errors were discovered.

The purchase of a machine by bank transfer, \$5000, was omitted from the accounts.

The purchase of a motor vehicle, \$15 000, was entered in the motor vehicle repair account.

What effect will **correcting** these errors have on the non-current assets and the working capital?

	non-current assets	working capital
	\$	\$
A	increase 15 000	decrease 5000
B	increase 15 000	no effect
C	increase 20 000	decrease 5000
D	increase 20 000	no effect

- 9 Why is a sales ledger control account usually prepared by a different member of staff than the person who maintains the sales ledger?

- A** to deter fraud
- B** to locate errors
- C** to provide an instant total of trade receivables
- D** to speed production of financial statements

- 10 What would be recorded on the credit side of a sales ledger control account?

- A** cash refunded to credit customers
- B** credit sales
- C** interest charged on overdue accounts
- D** sales returns

- 11 Maria's draft income statement for the year ended 31 March 2022 showed a profit for the year of \$38 750.

On 31 December 2021, Maria received a 5% bank loan of \$4800 which was incorrectly treated as a revenue receipt.

In error, a whole year's interest on the bank loan was included in the draft income statement for the year ended 31 March 2022.

What was the correct profit for the year ended 31 March 2022?

- A** \$33 770
- B** \$34 130
- C** \$43 370
- D** \$43 730

12 Which statement about the reducing balance method of depreciation is **not** correct?

- A A lower amount of depreciation is charged in the early years of the asset's life than in the later years.
- B Each year a given percentage is deducted from the cost of the asset less the depreciation to date.
- C It is used for assets which give greater benefits in the early years of their life.
- D The net book value of the non-current asset will never reach a nil value.

13 The financial year of Yeung ends on 31 March. On 1 April 2021, he purchased a machine for \$4000.

He estimated that it would have a useful working life of 3 years and a residual value of \$100. Yeung uses the straight-line method of depreciation.

The machine was sold on 1 April 2022 for \$1500.

What was the loss on disposal?

- A \$1100 B \$1200 C \$2400 D \$2500

14 On 1 April 2021, commission receivable, \$210, was outstanding. Commission received during the year ended 31 March 2022 amounted to \$4850.

Which journal entry should have been made at the end of the financial year on 31 March 2022?

		debit \$	credit \$
A	commission receivable income statement	4640	4640
B	commission receivable income statement	5060	5060
C	income statement commission receivable	4640	4640
D	income statement commission receivable	5060	5060

15 Nula's financial year ends on 31 December. She maintains a provision for doubtful debts of 5% of trade receivables.

On 1 January 2021, the provision amounted to \$800. On 31 December 2021, trade receivables owed \$13 400, of which \$600 was regarded as irrecoverable.

How much was the provision for doubtful debts on 1 January 2022?

- A \$600 B \$640 C \$660 D \$670

- 16** After the financial statements for the year ended 30 April 2022 had been prepared, a trader discovered that the closing inventory had been over-valued.

What will be the **effect** of this error?

	profit for the year ended 30 April 2022	capital on 30 April 2022	profit for the year ending 30 April 2023
A	overstated	overstated	understated
B	overstated	understated	no effect
C	understated	no effect	no effect
D	understated	understated	overstated

- 17** Mariam owns a business providing accounting services. She provided the following information for the financial year ended 31 March 2022.

	\$
fees owed by clients on 1 April 2021	4 500
fees received from clients during the year ended 31 March 2022	22 500
fees owed by clients on 31 March 2022	1 500

What was the amount of fees shown in the income statement for the year ended 31 March 2022?

- A** \$19 500 **B** \$22 500 **C** \$25 500 **D** \$28 500

- 18** Which item would **not** appear in the appropriation account of a partnership?

- A** interest charged on partners' drawings
B interest paid on loans from partners
C interest paid on partners' capital
D salaries paid to partners

- 19** Carol and Denise are in partnership sharing profits and losses in the ratio 2 : 1.

Denise's current account balances were as follows.

at 1 May 2021 \$2000 debit

at 1 May 2022 \$7000 credit

She had made no drawings during the year.

What was the total profit made by the partnership in the year ended 30 April 2022?

- A** \$9000 **B** \$15 000 **C** \$18 000 **D** \$27 000

20 Which statements are correct?

- 1 A debenture holder of a limited company is liable for the debts of the company.
- 2 A partner is liable to pay business debts from personal assets.
- 3 A shareholder of a limited company is responsible for the company's debts.
- 4 A sole trader is responsible for all the debts of his business.

A 1 and 2 **B** 1 and 3 **C** 2 and 4 **D** 3 and 4

21 The draft financial statements of a limited company showed retained earnings of \$31 820. It was then found that no adjustment had been made for the following.

	\$
commission receivable accrued	450
insurance prepaid	175

What was the correct amount of the retained earnings?

A \$31 195 **B** \$31 545 **C** \$32 095 **D** \$32 445

22 Which statement about club accounts is correct?

- A** Capital and revenue transactions are recorded in the income and expenditure account.
- B** Non-cash transactions are recorded in the income and expenditure account.
- C** Only revenue transactions are recorded in the receipts and payments account.
- D** The closing balance in the receipts and payments account represents a surplus or deficit.

23 A sports club provided the following information for the financial year ended 31 December 2021.

	\$
1 January 2021 subscriptions paid in advance	200
31 December 2021 subscriptions outstanding	450
subscriptions received during the year	8800

What was the total of the subscriptions that related to the year ended 31 December 2021?

A \$8150 **B** \$8550 **C** \$9050 **D** \$9450

- 24** The work in progress of ZT Manufacturers on 1 January was valued at \$6200. At the end of the year it was valued at \$5400.

What was the effect on the cost of production for the year?

- A** decrease \$800
- B** decrease \$11 600
- C** increase \$800
- D** increase \$11 600

- 25** A manufacturing company provided the following information.

	\$
cost of production	345 000
finished goods 1 January 2021	42 000
31 December 2021	36 000
purchases of finished goods	15 000

What was the cost of sales?

- A** \$324 000
- B** \$336 000
- C** \$351 000
- D** \$366 000

- 26** Tahir provided the following information for his first year of trading.

	\$
sales	170 000
sales returns	6 000
purchases	129 000

Tahir's gross margin was 25%.

What was the value of closing inventory?

- A** \$1000
- B** \$2200
- C** \$6000
- D** \$7500

- 27** A business provided the following information.

opening inventory	\$6800
closing inventory	\$6000
rate of inventory turnover	5 times

What were the purchases for the year?

- A** \$29 200
- B** \$31 200
- C** \$32 000
- D** \$32 800

28 A trader provided the following information at the end of the financial year.

	\$
revenue	80 000
gross profit	20 000
expenses	12 000

What was the profit margin?

- A** 10% **B** 15% **C** 25% **D** 40%

29 A trader provided the following information.

	\$
profit for the year	24 000
working capital	20 000
capital	120 000
non-current liability	30 000

What was the return on capital employed?

- A** 14.12% **B** 16.00% **C** 17.14% **D** 20.00%

30 Samuel, a trader, decided to issue statements of account each month.

Which ratio does Samuel hope to improve by doing this?

- A** current ratio
B liquid (acid test) ratio
C trade payables turnover
D trade receivables turnover

31 John's rate of inventory turnover was 10 times in year 1 and 8 times in year 2.

What may have caused the change in the rate of inventory turnover?

- A** fall in demand
B higher sales
C lower inventory levels
D lower selling price

32 Maya had annual revenue of \$100 000.

In year 1, her gross margin was 45% and her profit margin was 5%.

In year 2, her gross margin was 40% and her profit margin was 3%.

What happened to Maya's cost of sales and expenses in year 2?

	cost of sales	expenses
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

33 Why would a bank manager be interested in the financial statements of a business?

- A** to calculate and assess the trade payables turnover
- B** to check that the correct amount of tax is being paid
- C** to ensure that employees are being paid the correct hourly rate
- D** to ensure that funds are sufficient to cover loan interest

34 'Revenue should only be regarded as earned when the legal title of goods and services passes from the seller to the buyer.'

To which accounting principle does this statement refer?

- A** going concern
- B** matching
- C** money measurement
- D** realisation

35 'The information provided in financial statements should be capable of being independently verified.'

To which accounting policy does this statement refer?

- A** comparability
- B** relevance
- C** reliability
- D** understandability

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1

May/June 2022

MARK SCHEME

Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2022 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	A	1
4	C	1
5	A	1
6	D	1
7	D	1
8	C	1
9	A	1
10	D	1
11	B	1
12	A	1
13	B	1
14	A	1
15	B	1
16	A	1
17	A	1
18	B	1
19	D	1
20	C	1
21	D	1
22	B	1
23	D	1
24	C	1
25	D	1
26	C	1
27	B	1
28	A	1

Question	Answer	Marks
29	B	1
30	D	1
31	A	1
32	C	1
33	D	1
34	D	1
35	C	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

October/November 2022

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 Which transaction will increase both assets and capital by the same amount?
- A A credit customer settled his account after deducting a cash discount.
 - B Goods were sold for cash at a price higher than their cost price.
 - C Rent received included an amount prepaid for the next accounting period.
 - D The owner repaid a business loan from his personal bank account.
- 2 On 1 June 2021, Sue's capital account had a credit balance of \$120 000. During the year ended 31 May 2022 she withdrew goods costing \$1800. The loss for the year was \$14 200.

What was the credit balance on Sue's capital account on 1 June 2022?

- A \$104 000 B \$105 800 C \$107 600 D \$134 200

- 3 Bilal purchased goods on credit from Asim.

Where should Asim record this transaction?

- 1 cash book
- 2 nominal (general) ledger
- 3 purchases ledger
- 4 sales ledger

- A 1 and 2 B 1 and 4 C 2 and 3 D 2 and 4

- 4 Abdul sells goods to Rekha on credit. Some goods were damaged in transit.

Which document would Rekha send to Abdul?

- A credit note
- B debit note
- C invoice
- D statement of account

- 5 What is **not** shown on an invoice?

- A amount of trade discount
- B date payment made
- C details of goods supplied
- D terms of payment

- 6 On 1 September, Peter sent a cheque to his credit supplier, John. This was correctly entered in John's books. On 10 September, the cheque was returned unpaid due to lack of funds.

Which entries should be made in John's books on 10 September?

	account to be debited	account to be credited
A	bank	irrecoverable debts
B	bank	Peter
C	irrecoverable debts	bank
D	Peter	bank

- 7 Which entries should be made to post the monthly totals of the discount allowed and discount received columns of the cash book?

	discount allowed	discount received
A	credit discount allowed account	debit discount received account
B	credit income statement	debit income statement
C	debit discount allowed account	credit discount received account
D	debit income statement	credit income statement

- 8 Jasvinder maintains a petty cash book using the imprest system. The monthly imprest of \$100 is restored on the first day of each month.

In September the petty cash book showed the following.

	\$
total expenses	83
total receipts	7

How much cash did Jasvinder need to restore the imprest on 1 October?

- A** \$24 **B** \$76 **C** \$83 **D** \$100

- 9 Saddique's trial balance failed to balance. The debit column totalled \$12 250 and the credit column totalled \$12 200.

The following errors were discovered.

No entry had been made for cash sales, \$150.

The total of the discount received account, \$50, had been omitted from the trial balance.

What were the totals of the trial balance **after** the errors had been corrected?

- A** \$12 250 **B** \$12 300 **C** \$12 350 **D** \$12 400

- 10** \$68 paid by credit transfer for insurance was entered in the accounting records as \$86.

Which double entry will correct this error?

	account debited	\$	account credited	\$
A	bank	18	insurance	18
B	bank	68	insurance	68
C	insurance	18	bank	18
D	insurance	68	bank	68

- 11** After the preparation of her income statement, Emma discovered the following errors.

A debt, \$1500, should have been written off as irrecoverable.

No adjustment had been made for rent prepaid by Emma of \$2800.

The draft profit for the year was \$35 000.

What was the corrected profit for the year?

- A** \$30 700 **B** \$33 700 **C** \$36 300 **D** \$39 300

- 12** Hamid purchased a motor vehicle from an overseas motor manufacturer.

Which expenditure relating to the motor vehicle is capital expenditure?

- A** delivery charge
B insurance
C petrol
D replacement tyres

- 13** Wentile purchased a motor vehicle for \$35 000. He estimated it would be used for five years and then sold for \$5000.

Wentile depreciated the motor vehicle using the straight-line method at a rate of 20% per annum.

What was the accumulated depreciation on this motor vehicle at the end of year 2?

- A** \$10 800 **B** \$12 000 **C** \$12 600 **D** \$14 000

- 14** On the first day of his financial year, Jason purchased a new machine costing \$20 000.

On that date his old machine had a book value of \$6000. Jason was allowed \$4500 for the old machine in part exchange. He paid the balance by cheque.

Machinery is depreciated at 20% per annum.

How much should be charged to Jason's income statement for the year?

- A** \$1500 **B** \$2500 **C** \$4000 **D** \$5500

- 15** Martha rents out part of her business premises.

On 1 September 2021, she was owed rent of \$1500 and on 31 August 2022 she was owed \$1800 rent.

During the year ended 31 August 2022, Martha received rent of \$6000.

How much was transferred to Martha's income statement for the year ended 31 August 2022?

- A** \$2700 **B** \$5700 **C** \$6300 **D** \$9300

- 16** Parker received cash from Alexi for a debt that had been written off as irrecoverable.

How should Parker record this in his accounts?

	account to be debited	account to be credited
A	cash	irrecoverable debts
B	cash	debts recovered
C	debts recovered	cash
D	irrecoverable debts	cash

- 17** Why should inventory be valued at the lower of cost and net realisable value?

- A** to avoid undervaluing the inventory
B to comply with the historic cost principle
C to comply with the principle of materiality
D to ensure that profits are not overstated

- 18** How would current assets be listed if they are arranged in decreasing order of liquidity?

- A** bank, cash, trade receivables, inventory
B cash, bank, trade receivables, inventory
C inventory, trade receivables, bank, cash
D inventory, trade receivables, cash, bank

- 19** During the year, Sam paid advertising expenses, some of which related to the following financial year. Sam made an adjustment for this when preparing his financial statements for the current year.

What was the effect on Sam's financial statements of making this adjustment?

	decrease profit for the year	increase profit for the year	increase current assets	increase current liabilities
A		✓		✓
B		✓	✓	
C	✓		✓	
D	✓			✓

- 20** Members of a limited company have limited liability for the debts of that company.

What does this mean?

- A** Members are equally liable for the debts of the company.
B Members are liable only up to the value of their personal assets.
C Members are liable only up to the amount they agree to pay for their shares in the company.
D Members are liable only up to the value of the debentures they hold in the company.

- 21** A limited company provided the following information.

	\$
non-current assets	35 000
ordinary share capital	40 000
5% debentures	10 000
net current assets	30 000

What were the retained earnings?

- A** \$15 000 **B** \$25 000 **C** \$55 000 **D** \$115 000

22 What is included in the equity of a limited company?

	ordinary share capital	retained earnings	debentures	general reserve
A	✓	✓		✓
B	✓	✓		
C	✓		✓	✓
D	✓		✓	

23 The financial year of a club ends on 30 September. During the year ended 30 September 2022, the club received an interest-free loan from a member.

In which of the club's financial statements will this appear?

- A** income and expenditure account and statement of financial position
- B** receipts and payments account and income and expenditure account
- C** receipts and payments account and statement of financial position
- D** statement of financial position only

24 A club had an accumulated fund at the start of the year of \$18 000 and at the end of the year of \$16 200.

New equipment costing \$1100 was bought during the year. Total expenses for the year were \$9550. The only income came from subscriptions.

How much were subscriptions for the year?

- A** \$7750
- B** \$8850
- C** \$11 350
- D** \$12 450

25 Dan makes t-shirts which are stamped with a design using fabric paint. He provided the following information.

	\$
fabric for t-shirts	10 000
factory heating and lighting	5 000
fabric paint	4 000
factory rent	8 000
wages of machine operators	16 000

What was the total of the direct costs?

- A** \$19 000
- B** \$23 000
- C** \$30 000
- D** \$31 000

- 26** In a manufacturing account, carriage on raw materials was incorrectly treated as a factory overhead.

How did this error affect the prime cost and the cost of production?

	prime cost	cost of production
A	overstated	no effect
B	overstated	overstated
C	understated	no effect
D	understated	understated

- 27** Chan provided the following information.

	1 October 2021 \$	30 September 2022 \$
non-current assets	10 000	12 000
inventory	2 500	2 000
trade receivables	1 500	1 300
bank overdraft	800	900
trade payables	1 000	1 900

What was Chan's profit or loss for the year?

- A** \$300 loss
- B** \$300 profit
- C** \$500 loss
- D** \$500 profit

28 Aruna does not maintain a full set of double entry records.

She provided the following information.

	\$
trade payables on 1 August 2021	23 450
trade payables on 31 July 2022	27 290
cash purchases made during the year	16 000
payments made to credit suppliers	168 000

What was the cost of her purchases for the year ended 31 July 2022?

- A** \$164 160 **B** \$171 840 **C** \$180 160 **D** \$187 840

29 Thabo provided the following information.

revenue	\$250 000
gross margin	20%
rate of inventory turnover	5 times

What was the average inventory for the year?

- A** \$10 000 **B** \$37 500 **C** \$40 000 **D** \$50 000

30 Naeema provided the following information.

	\$
revenue	28 000
gross profit	11 900
profit for the year	3 500

What was her profit margin?

- A** 12.5% **B** 29.4% **C** 30.0% **D** 42.5%

31 When calculating the liquid (acid test) ratio, what is compared to the liquid assets?

- A** current liabilities
B intangible assets
C non-current assets
D non-current liabilities

32 A trader provided the following information.

	year 1	year 2
gross profit	\$40 000	\$75 000
gross margin	35%	35%
profit margin	11%	22%

What would explain these changes?

- A an increase in selling price and a decrease in sales quantity
 - B an increase in selling price and an increase in expenses
 - C an increase in sales quantity and a decrease in selling price
 - D an increase in sales quantity and a decrease in expenses
- 33 A business renewed an insurance policy. The total amount paid was charged as an expense in the income statement for the year even though half related to the next financial year.
- Which accounting principle has **not** been applied?
- A duality
 - B historic cost
 - C matching
 - D money measurement
- 34 What is meant by the business entity principle?
- A All aspects of the business are recorded in money terms.
 - B Goods taken by the owner for personal use are not recorded.
 - C It is assumed that the business will continue to operate indefinitely.
 - D Transactions are recorded from the point of view of the business.
- 35 Which statement is **not** correct about reasons for using international accounting standards?
- A assists when making comparisons between companies
 - B improves the reliability of accounting information
 - C narrows the areas of difference in financial reporting
 - D makes the preparation of financial statements less time-consuming

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1

October/November 2022

MARK SCHEME

Maximum Mark: 35

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Question	Answer	Marks
1	B	1
2	A	1
3	D	1
4	B	1
5	B	1
6	D	1
7	C	1
8	B	1
9	D	1
10	A	1
11	C	1
12	A	1
13	B	1
14	D	1
15	C	1
16	B	1
17	D	1
18	B	1
19	B	1
20	C	1
21	A	1
22	A	1
23	C	1
24	A	1
25	C	1
26	C	1
27	B	1
28	D	1

Question	Answer	Marks
29	C	1
30	A	1
31	A	1
32	D	1
33	C	1
34	D	1
35	D	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1 Multiple Choice

May/June 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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INFORMATION

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- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Why does the accountant of a business analyse its financial statements?

- A to provide information for the customers
- B to provide information for the government
- C to provide information for the managers
- D to provide information for the suppliers

2 Padma started a business on 1 April 2022 with \$30 000 of her own money. On 31 March 2023, her assets and liabilities were as shown.

	\$
machinery at net book value	38 000
other assets	15 000
long-term loan from bank	16 500

What was Padma's capital on 31 March 2023?

- A \$30 000 B \$36 500 C \$46 500 D \$53 000

3 A trader credited the income statement and debited his capital account.

What does this double entry record?

- A capital introduced
- B drawings
- C loss for the year
- D profit for the year

4 Ted, a manufacturer, purchased a machine on credit from T Limited.

How did Ted record this?

	account debited	account credited
A	T Limited	machinery
B	T Limited	purchases
C	machinery	T Limited
D	purchases	T Limited

- 5 The following account appeared in the books of Abdul.

Hanif account					
2023			2023		
		\$			\$
Jan 18	returns	100	Jan 1	balance b/d	400
31	bank	392	4	purchases	250
	discount	8			
	balance c/d	150			
		<u>650</u>			<u>650</u>

Which statement is correct?

- A** On 1 January, Abdul owed Hanif \$400.
- B** On 4 January, Hanif purchased goods, \$250, from Abdul.
- C** On 31 January, Abdul allowed Hanif \$8 trade discount.
- D** On 31 January, Hanif owed Abdul \$150.
- 6 Which items are shown on a statement of account?
- A** bank charges
- B** credit notes
- C** debit notes
- D** trade discounts
- 7 A trader issues an invoice for goods sold on credit. The full price of the goods is \$2500.
- The trader allows a trade discount of 15%, and offers a cash discount of 4% for prompt payment.
- Which amount is recorded in the sales journal?
- A** \$2025 **B** \$2040 **C** \$2125 **D** \$2500
- 8 A trader prepared a trial balance at 31 December.
- Which statement about this trial balance is correct?
- A** It shows a summary of the financial position at 31 December.
- B** It shows the ledger account balances at 31 December.
- C** It shows the profit for the year ended 31 December.
- D** It shows the transactions for the year to 31 December.

- 9 After completing the trial balance, it was found that an amount of \$4000 for motor vehicle repairs had been entered in the motor vehicle account.

Which type of error is this?

- A commission
- B compensating
- C omission
- D principle
- 10 At the end of his financial year, Zane opened a suspense account.
- Why was it necessary to open this account?
- A the suspense account had been omitted from the ledger
- B the trial balance totals did not agree
- C to correct an error of commission
- D to make sure no errors were made in the ledger
- 11 Jack has opened a suspense account. He has found that rent paid of \$250 has been correctly entered in the rent account but credited to the bank account as \$520.

Which entries will correct this error?

	debit	\$	credit	\$
A	bank account	270	suspense account	270
B	bank account	520	suspense account	520
C	suspense account	270	bank account	270
D	suspense account	520	bank account	520

- 12 Naila provided the following information at 31 August.

	\$
debit balance in cash book at 31 August	449
uncredited deposits	424
unpresented cheques	175
interest charged in error by the bank	10

What was the credit balance on the bank statement at 31 August?

- A \$190 B \$210 C \$688 D \$708

13 Which statement about a sales ledger control account is **not** correct?

- A It assists in the location of errors.
- B It helps to deter fraud.
- C It prevents debts becoming irrecoverable.
- D It provides a quick total of trade receivables.

14 The following partly completed account appeared in Candy's ledger.

Purchases ledger control account

		\$			\$
Dec 31	bank	42 000	Dec 1	balance b/d	720
	discount received	600	31	purchases	48 000

The following entries still need to be made in the account.

Interest of \$15 was charged by credit suppliers for overdue payments.

Balances owing in the purchases ledger totalling \$450 were set off against balances in the sales ledger.

What will be the closing balance on the purchases ledger control account after these entries are made?

- A \$5655 B \$5685 C \$6555 D \$6585

15 A trader's expenditure during the year includes the following amounts.

	\$
re-decoration of premises	5 000
insurance of motor vehicles	2 000
purchase of machinery	10 000

How much should the trader charge to her income statement for the year?

- A \$7000 B \$10 000 C \$12 000 D \$17 000

16 Which statement about depreciation is correct?

- A It is a cash fund to replace a non-current asset.
- B It is a monetary expense as it involves the outflow of money.
- C It is an estimate of the loss in value of a current asset over its expected life.
- D It is recorded in the nominal ledger and the income statement.

17 Rashid provided the following balances at 31 December.

	\$
machinery at cost	52 000
provision for depreciation of machinery	23 000

Depreciation for the year was calculated at 20% on cost and is included in the balance for the provision.

After the balances had been extracted, it was found that machinery repairs costing \$2000 had been debited in error to the machinery account.

What is the correct balance on the provision for the depreciation of machinery account?

- A** \$21 000 **B** \$22 600 **C** \$23 400 **D** \$25 000

18 Annual rental income due from Kumar, a tenant, is \$3600. At the start of the year, Kumar had prepaid rent of \$900. At the end of the year, he owed two months' rent.

How much rent was received from Kumar during the year?

- A** \$2100 **B** \$3300 **C** \$3900 **D** \$5100

19 At the end of the financial year, Gina had the following items of clothing in her inventory.

100 t-shirts: cost price per unit \$15, selling price per unit \$30

200 dresses: cost price per unit \$40, selling price per unit \$30

What was the value of Gina's inventory?

- A** \$7500 **B** \$9000 **C** \$9500 **D** \$11 000

20 Which error causes the gross profit to be overstated?

- A** closing inventory under-valued
B opening inventory omitted from the income statement
C purchases recorded before deduction of trade discount
D sales invoices omitted from the sales journal

21 Which group consists of **only** intangible assets?

- A** bank balance, brand names, goodwill
B bank balance, trademarks, trade receivables
C brand names, goodwill, trademarks
D goodwill, trademarks, trade receivables

22 At the end of the financial year, Karim decided to increase his provision for doubtful debts.

How will this affect his income statement and the statement of financial position?

	income statement	statement of financial position
A	decrease expenses	increase current assets
B	decrease expenses	increase current liabilities
C	increase expenses	decrease current assets
D	increase expenses	decrease current liabilities

23 What is included in an appropriation account of a partnership?

- 1 annual salary to which each partner is entitled
- 2 drawings made by each partner during the year
- 3 the closing balance on each partner's capital account
- 4 the division of residual profit between the partners

A 1, 2 and 3 **B** 1 and 4 **C** 2 and 3 only **D** 4 only

24 X and Y are in partnership with capital of \$50 000 and \$30 000 respectively.

The partnership agreement provides that profits are to be shared in proportion to capital invested and each partner is entitled to 10% interest on capital.

Profit for the year was \$37 000.

What was the total amount credited to Y's current account at the end of the year?

A \$10 875 **B** \$13 875 **C** \$18 125 **D** \$23 125

25 What is an advantage of being a member of a limited company?

- A** Loan capital is easy to obtain.
- B** Dividends must be paid to the member.
- C** Financial statements are prepared quickly.
- D** The company is a separate legal entity.

26 A limited company provided the following information.

	\$
issued share capital (50 000 ordinary shares of \$1 each)	50 000
profit for the year ended 31 December 2022	13 000
transfer to general reserve during the year	6 000
interim ordinary share dividend paid during the year	3 000

On 31 December 2022, it was decided to use the remaining profit to pay a final ordinary share dividend.

Which percentage final dividend would the ordinary shareholders receive?

- A** 8% **B** 14% **C** 20% **D** 26%

27 P Limited maintains a provision for doubtful debts account. On 1 April 2022, this account had a balance of \$6200.

The provision should have been increased to \$7400 on 31 March 2023, but this adjustment was not made.

What was the effect of this error on the retained earnings in the statement of financial position on 31 March 2023?

- A** overstated \$1200
B overstated \$7400
C understated \$1200
D understated \$7400

28 What is included in the income and expenditure account of a tennis club?

- A** all amounts received and paid during the year
B all capital and revenue expenditure incurred during the year
C the closing balances on the accumulated fund
D the profit for the year from the club's shop

- 29** Tim started a manufacturing business on 1 January. He provided the following information about his first year in business.

	\$
closing inventory of finished goods	2 060
closing work in progress	1 840
factory overheads	15 530
prime cost	70 570

What was Tim's cost of production?

- A** \$82 200 **B** \$84 260 **C** \$86 100 **D** \$87 940
- 30** Hassan's capital decreased by \$200 over the year, even though he made a profit of \$7000.

Which transactions caused this?

	capital introduced \$	drawings \$
A	1000	8200
B	1200	6000
C	2000	8800
D	2200	4600

- 31** A trader provided the following information.

credit sales	\$36 000
cash sales	10% of total sales
net profit margin	30%

How much is the net profit?

- A** \$9720 **B** \$10 800 **C** \$11 880 **D** \$12 000

- 32** The table shows the gross margin and profit margin for four businesses.

Which business controls its overheads most efficiently?

	gross margin %	profit margin %
A	40	17
B	37	15
C	35	14
D	30	12

- 33** Ramiz works as a sales manager in a car showroom. He is paid on the basis of the number of cars sold.

Which accounting ratio will be relevant to Ramiz?

- A** gross margin
 - B** profit margin
 - C** rate of inventory turnover
 - D** trade receivables turnover
- 34** Manvinder started a business and paid a cheque for \$1000 into a business bank account. He recorded this in the books of the business by debiting the bank account and crediting the capital account.

Which accounting principles did he apply?

- A** business entity and duality
 - B** business entity and going concern
 - C** going concern and matching
 - D** matching and duality
- 35** A trader always records assets and expenses in his ledger at the price he paid for them.

Which accounting principle is he applying?

- A** business entity
- B** historic cost
- C** prudence
- D** realisation

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1

May/June 2023

MARK SCHEME

Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Cambridge International is publishing the mark schemes for the May/June 2023 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

Question	Answer	Marks
1	C	1
2	B	1
3	C	1
4	C	1
5	A	1
6	B	1
7	C	1
8	B	1
9	D	1
10	B	1
11	A	1
12	A	1
13	C	1
14	B	1
15	A	1
16	D	1
17	B	1
18	A	1
19	A	1
20	B	1
21	C	1
22	C	1
23	B	1
24	B	1
25	D	1
26	A	1
27	A	1
28	D	1

Question	Answer	Marks
29	B	1
30	A	1
31	D	1
32	D	1
33	C	1
34	A	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

May/June 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



1 What is the main function of book-keeping?

- A communicating information
- B interpreting information
- C recording information
- D summarising information

2 Which components of a statement of financial position do descriptions 1, 2 and 3 relate to?

- 1 finance and other resources that have been provided by the owner
- 2 money owed for goods supplied, unpaid expenses and loans made to the business
- 3 property owned by the business, amounts owed by customers, unsold goods and money in the bank

	1	2	3
A	assets	capital	liabilities
B	assets	liabilities	capital
C	capital	assets	liabilities
D	capital	liabilities	assets

3 A cheque received from Kate, a credit customer, was dishonoured.

How was this dishonoured cheque recorded?

	account debited	account credited
A	bank	Kate
B	Kate	bank
C	Kate	sales
D	sales	Kate

4 What does the sales ledger of a business contain?

- A accounts of trade payables
- B accounts of trade receivables
- C sales account
- D sales ledger control account

- 5 Which action is an example of double entry book-keeping?
- A making a journal entry to record the correction of an error made in the ledger
 - B making entries in the sales journal and the sales ledger to record goods sold on credit
 - C recording a cheque paid to a trade payable in the cash book and purchases ledger
 - D recording the purchase of goods on credit in the purchases journal and purchases account

- 6 What is true about cash discounts received?

	they are recorded in the cash book	they increase profit for the year
A	✓	✓
B	✓	✗
C	✗	✓
D	✗	✗

- 7 Tahir prepared a trial balance. He entered both the balance on the discount allowed account, \$900, and the bank overdraft, \$750, in the wrong column.

Which total of the trial balance was higher and what was the amount of the difference between the debit total and the credit total?

	total that was higher	amount of difference \$
A	credit column	300
B	credit column	1650
C	debit column	150
D	debit column	3300

- 8 Goods sold on credit to J Sharp were debited in error to the account of T Sharpe.

Which type of error has been made?

- A commission
- B complete reversal
- C original entry
- D principle

- 9 Khalid made entries in a suspense account to correct two errors found in his ledger accounts. Once the errors were corrected, the suspense account was closed.

error 1 \$700 sales had been omitted from the sales account.

error 2 The purchases journal had been overcast by \$550.

Which entry was made in the suspense account to balance the trial balance?

- A credit \$150
 - B credit \$1250
 - C debit \$150
 - D debit \$1250
- 10 Maya depreciates her motor vehicle at 25% per annum using the straight-line method.

The motor vehicle cost \$15 000.

The depreciation for the current financial year was incorrectly calculated at 15% per annum.

How will correcting the error affect the profit for the year?

- A decrease \$1500
 - B decrease \$2250
 - C increase \$1500
 - D increase \$2250
- 11 Waseem received a bank statement. He found that the bank had charged interest twice in error and that a dividend had been received on an investment.

Waseem then updated the cash book and prepared a bank reconciliation statement.

Where did he record these two items?

	bank error	dividend
A	bank reconciliation statement	bank reconciliation statement
B	bank reconciliation statement	updated cash book
C	updated cash book	bank reconciliation statement
D	updated cash book	updated cash book

12 Thembi is preparing her sales ledger control account. She needs to know:

- 1 the total for goods which have been returned by credit customers
- 2 the amount owed by credit customers which have been written off as irrecoverable.

Where can she obtain this information?

	goods returned	irrecoverable debts
A	purchase returns account	irrecoverable debts account
B	purchase returns journal	general journal
C	sales returns account	irrecoverable debts account
D	sales returns journal	general journal

13 On 1 August, the sales ledger control account had a debit balance of \$1800.

During August, a debt of \$200 was written off as irrecoverable and \$10 000 was received from credit customers. On 31 August, the credit customers owed \$3000.

What was the total of credit sales in August?

- A** \$7200 **B** \$11 200 **C** \$11 400 **D** \$11 600

14 A wholesaler had the following transactions.

sold goods, \$30 000, on credit

received cheque, \$12 000, from sale of old fixtures at book value

How would these amounts be classified?

	revenue receipt \$	capital receipt \$
A	nil	42 000
B	12 000	30 000
C	30 000	12 000
D	42 000	nil

- 15** A trader debited the cost of repairing office equipment to the office equipment account.

How did this error affect the financial statements?

	profit for the year	non-current assets
A	overstated	overstated
B	overstated	understated
C	understated	overstated
D	understated	understated

- 16** A business bought two assets, X and Y, on 1 January 2022, for \$2000 each.

It depreciates asset X by 10% per annum using the straight-line method, and asset Y by 10% per annum using the reducing balance method.

Which statements are correct?

	asset X will be fully depreciated before asset Y	in 2022 the depreciation charge is lower for asset X than for asset Y
A	incorrect	incorrect
B	incorrect	correct
C	correct	incorrect
D	correct	correct

- 17** Ravi's financial year ends on 30 April.

Ravi bought a motor vehicle for \$8000 on 1 May 2020 and sold it for \$4050 on 1 May 2022.

He uses the reducing balance method of depreciation at 20% per annum.

What would be recorded in the income statement for the year ended 30 April 2023 for the disposal of the motor vehicle?

- A** \$750 loss
- B** \$750 profit
- C** \$1070 loss
- D** \$1070 profit

- 18 On 2 January, Razia wrote off \$450 owed to her by Annette, a credit customer, as irrecoverable.
On 2 October, Annette paid \$100 by cheque in part settlement of that debt.

Which entries would Razia make on 2 October?

	account to be debited	account to be credited
A	bank	debts recovered
B	bank	irrecoverable debts
C	debts recovered	bank
D	irrecoverable debts	bank

- 19 Asha provided the following information about her inventory at the end of the financial year.

product	number of units	cost price per unit \$	selling price per unit \$
P	200	2.50	2.00
J	300	3.00	3.50

What was the total value of Asha's inventory?

- A** \$1300 **B** \$1400 **C** \$1450 **D** \$1550
- 20 Which group contains **only** service businesses?
- A** book shop, language school, newsagent
B jewellery repairer, taxi firm, food store
C language school, taxi firm, jewellery repairer
D taxi firm, newsagent, food store
- 21 What does the statement of financial position of a business show?
- A** assets and liabilities at a certain date
B calculation of the annual profit or loss
C changes in equity during the financial year
D income and expenditure for the financial year

- 22** A trader pays her insurance premium on 1 January each year for the following 12 months.

She made the following payments for insurance.

	\$
1 January 2022	1680
1 January 2023	1920

How much did the trader include for insurance in her income statement for the year ended 31 March 2023?

- A** \$1680 **B** \$1740 **C** \$1920 **D** \$2160
- 23** Which item is added to the profit for the year in a partnership appropriation account?
- A** interest on capital
B interest on drawings
C partners' drawings
D partners' salaries
- 24** Abi and Erni are in partnership. Erni is entitled to an annual partnership salary of \$3000. They share residual profits and losses equally. The profit for the year ended 31 August 2022 was \$12 600.

On 1 September 2021, the partners' current account balances were as follows.

	\$
Abi	2500 credit
Erni	1400 debit

What was the credit balance on Erni's current account on 1 September 2022?

- A** \$400 **B** \$3200 **C** \$6400 **D** \$9200
- 25** What is meant by the term *equity*?
- A** dividend paid to ordinary shareholders
B funds raised through borrowing
C interest paid to debenture holders
D total funds provided by shareholders

- 26** During the financial year, AB Limited paid debenture interest of \$1400 relating to that financial year. At the end of the year, debenture interest of \$700 was accrued.

How was debenture interest shown in the financial statements for the year?

	income statement \$	statement of changes in equity \$
A	1400	no entry
B	2100	no entry
C	no entry	1400
D	no entry	2100

- 27** Which items are included in an income and expenditure account prepared for a sports club?

- 1 cost of new furniture purchased during the year for the clubhouse
- 2 depreciation on furniture and sports equipment
- 3 rates for the clubhouse paid in advance for the next financial year
- 4 subscriptions that remain unpaid by club members at the end of the financial year

A 1 and 2 **B** 1 and 4 **C** 2 and 4 **D** 3 and 4

- 28** Melody is a music club. The club holds a music concert once every year. Prizes are awarded to musicians selected by a judge.

The club provided the following information related to the latest music concert.

	\$
sale of concert tickets	1 500
purchases of concert prizes	450
sale of concert programmes	150
payment of fee to the concert judge	250

What was the profit from the concert?

A \$950 **B** \$1050 **C** \$1450 **D** \$2100

- 29 A business provided the following information.

	\$
opening inventory of raw material	50 000
closing inventory of raw material	60 000
purchases of raw material	80 000
carriage inwards on raw material	2 000

What was the cost of raw material consumed?

- A** \$70 000 **B** \$72 000 **C** \$90 000 **D** \$92 000
- 30 Ashwin started a business as a taxi driver on 1 January 2022. His taxi cost \$5000 and he paid \$100 into a business bank account.

He did not keep any accounting records. On 31 December 2022, he had \$1750 in the business bank account, his taxi was valued at \$4000 and he owed \$50 to the garage for repairs. During the year, he took \$1600 out of the business bank account as drawings.

What was the profit for the year?

- A** \$1650 **B** \$2200 **C** \$2250 **D** \$3250
- 31 A trader did not keep a complete set of accounts. He provided the following information for the year.

	\$
opening trade payables	5 000
closing trade payables	9 800
payments to credit suppliers	35 000
cash discounts received	3 000

What were the purchases for the year?

- A** \$30 200 **B** \$36 800 **C** \$39 800 **D** \$42 800

32 T Limited provided the following information.

	\$
net profit before interest	29 200
profit for the year	28 000
equity at the year-end	192 000
6% debentures	20 000

What was T Limited's return on capital employed?

- A** 13.21% **B** 13.77% **C** 14.58% **D** 15.21%

33 Sabelo's liquid (acid test) ratio was higher on 1 January 2022 than it was on 31 December 2022.

What could have caused this?

- A** bank overdraft decreased
B inventory decreased
C other payables decreased
D trade receivables decreased

34 The following ratios relate to the businesses of Ewa and Max.

	Ewa	Max
current ratio	2.2 : 1	2.4 : 1
liquid (acid test) ratio	1.4 : 1	1.0 : 1

An accounting student made the following statements.

- 1 Ewa can meet her current liabilities from her current assets more easily than Max.
- 2 Ewa can meet her current liabilities from her liquid assets more easily than Max.
- 3 Max has insufficient current assets to meet his current liabilities.
- 4 Max has sufficient liquid assets to meet his current liabilities.

Which statements are correct?

- A** 1 and 3 **B** 1 and 4 **C** 2 and 3 **D** 2 and 4

- 35** A café owner made no entry in her accounts for increased competition when another café opened nearby.

Which accounting principle was applied?

- A** historic cost
- B** materiality
- C** money measurement
- D** prudence

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1

May/June 2023

MARK SCHEME

Maximum Mark: 35

Published

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Question	Answer	Marks
1	C	1
2	D	1
3	B	1
4	B	1
5	C	1
6	A	1
7	A	1
8	A	1
9	B	1
10	A	1
11	B	1
12	D	1
13	C	1
14	C	1
15	A	1
16	C	1
17	C	1
18	A	1
19	A	1
20	C	1
21	A	1
22	B	1
23	B	1
24	C	1
25	D	1
26	B	1
27	C	1
28	A	1

Question	Answer	Marks
29	B	1
30	B	1
31	D	1
32	B	1
33	D	1
34	D	1
35	C	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

October/November 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Which actions are examples of book-keeping?

- 1 entering details of a cheque received from a customer in the cash book
- 2 entering details of goods purchased on credit in the purchases journal
- 3 producing an income statement to calculate the profit for the year
- 4 recording details of credit sales in the account of a credit customer

A 1, 2 and 3 **B** 1, 2 and 4 **C** 1 and 2 only **D** 3 and 4

2 A trader supplied the following information at her year end.

	\$
non-current assets	4000
inventory	350
trade receivables	180
cash at bank	650 debit
trade payables	280

What was the trader's capital?

A \$4900 **B** \$5100 **C** \$5180 **D** \$5460

3 A trader, Karim, purchases a new vehicle by cheque. He will use the vehicle to deliver goods to his customers.

How should Karim record this transaction in his books?

	account to be debited	account to be credited
A	bank	motor vehicles
B	bank	purchases
C	motor vehicles	bank
D	purchases	bank

- 4 The following ledger account was in Meena's sales ledger.

	\$		\$
Jan 1 balance b/d	100	Jan 15 bank	100
Jan 31 balance c/d	<u>20</u>	Jan 30 sales returns	<u>20</u>
	<u>120</u>		<u>120</u>
		Feb 1 balance b/d	20

Which statement about the balance on 1 February in Meena's books of account is correct?

- A** It is an asset.
- B** It is an expense.
- C** It is a liability.
- D** It is revenue.
- 5 Which document would a supplier issue to a credit customer if the credit customer had returned goods or had been overcharged?
- A** cheque
- B** credit note
- C** debit note
- D** invoice
- 6 Andy was a regular customer of Khalid. He bought goods with a list price of \$1000 and later paid \$760 in full settlement after receiving a discount for prompt payment of 5%.

How much trade discount did Andy receive?

- A** \$40 **B** \$190 **C** \$200 **D** \$278
- 7 The totals of a trial balance agree.

What does this mean?

- A** All the arithmetic in the ledger is correct.
- B** All transactions have been entered in the correct ledger accounts.
- C** All transactions have been entered on the correct sides of the ledger.
- D** Total debit balances equal total credit balances in the ledger.

- 8 A cheque received from Joe was credited to Joanna's account.

Which type of error was made?

- A commission
- B compensating
- C original entry
- D principle

- 9 A trader's journal shows the following entry.

details	debit \$	credit \$
John	300	
Jane		300
correction of error		

Both John and Jane are credit customers of the trader.

Which error is the journal entry correcting?

- A Goods bought from Jane were wrongly credited to John.
 - B Goods bought from John were wrongly credited to Jane.
 - C Goods sold to Jane were wrongly debited to John.
 - D Goods sold to John were wrongly debited to Jane.
- 10 A trial balance does not balance and a suspense account is opened. It is found that a sale of \$250 was credited in the sales account as \$2500.

Which entry will correct this error?

	account to be debited	\$	account to be credited	\$
A	sales	250	suspense	250
B	sales	2250	suspense	2250
C	suspense	2250	sales	2250
D	suspense	2500	sales	2500

- 11 A cheque received from D Pawson, a trade receivable, was correctly debited to the bank account but was credited to the account of P Dawson, a trade payable.

What was the effect of **correcting** this error?

	trade receivables	trade payables
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 12 The balance of the bank column in a trader's cash book was \$520 debit.

The trader later discovered that the following items did not appear on his bank statement.

cheque not yet presented \$80

cheque not yet credited \$470

What was the balance on the trader's bank statement?

- A** \$130 credit **B** \$130 debit **C** \$910 credit **D** \$910 debit
- 13 Why does a trader prepare a sales ledger control account?
- A** to determine when interest should be charged on overdue accounts
- B** to identify irrecoverable debts that should be written off
- C** to locate incorrect postings in the sales ledger
- D** to obtain totals to enter in the books of prime entry
- 14 When preparing a sales ledger control account, what is the source of information for amounts received from credit customers?
- A** bank statements
- B** cash book
- C** sales ledger accounts
- D** statements of account

- 15** Plant and machinery, \$2000, was incorrectly posted to the credit side of the purchases account.

The draft profit for the year was \$63 000.

Ignore depreciation.

What was the revised profit for the year **after** the correction of the error?

- A** \$59 000 **B** \$61 000 **C** \$65 000 **D** \$67 000

- 16** Why are non-current assets depreciated?

- 1 to avoid overstating the value of non-current assets
- 2 to charge the cost of an asset as an expense over its lifetime
- 3 to comply with the accounting principle of historic cost
- 4 to match capital expenditure against the income it has helped earn

- A** 1, 2 and 4 **B** 1, 3 and 4 **C** 1 and 3 only **D** 2 and 3

- 17** On 1 January, Raheem purchased equipment costing \$850.

It was estimated to have a working life of 5 years and a scrap value of \$50.

The asset was depreciated using the straight-line method.

At the end of 3 years, the machine was sold for \$100.

What was the profit or loss on disposal?

- A** \$240 loss
B \$270 loss
C \$50 profit
D \$220 profit

- 18** Imran maintains a provision for doubtful debts of 5% of the trade receivables at the end of each financial year.

The balance on his provision for doubtful debts account on 1 January 2022 was \$700.

Trade receivables on 31 December 2022 owed \$2000 more than they owed on 31 December 2021.

How did the change in the provision for doubtful debts affect the profit for the year ended 31 December 2022?

- A** \$100 decrease
 - B** \$100 increase
 - C** \$800 decrease
 - D** \$800 increase
- 19** Ariadne prepares her financial statements to 31 December each year. She valued all her inventory at cost on 31 December 2021, even though some inventory with a cost of \$500 had a net realisable value of \$350.

What was the effect of this error?

- A** Gross profit for the year 2021 was overstated.
 - B** Total assets at 31 December 2021 were understated.
 - C** Profit for the year 2022 was overstated.
 - D** Capital at 31 December 2022 was understated.
- 20** A trader has capital of \$24 400. His non-current assets are \$16 100 and his current liabilities are \$4500. There are no non-current liabilities.

What is the amount of his current assets?

- A** \$8300 **B** \$11 600 **C** \$12 800 **D** \$28 900
- 21** At 1 January 2022, there was a credit balance of \$800 on the electricity account. Payments made during the year totalled \$4900. At 31 December 2022, a further \$1800 of electricity had been used since the last invoice was paid.

What is the charge to the income statement for electricity for the year 2022?

- A** \$2300 **B** \$5900 **C** \$6700 **D** \$7500

- 22** Josh and Karen are in a partnership sharing profits and losses 3:2. Interest on capital is allowed at 5%. Salary payable to Josh is \$10 000 per annum.

The residual profit after deduction of salary and interest on capital was \$20 000. The capital account balances at the start of the year were: Josh \$60 000 and Karen \$40 000.

What was the total amount credited to Josh's current account at the end of the year?

- A** \$12 000 **B** \$15 000 **C** \$22 000 **D** \$25 000

- 23** A partner is charged interest on the drawings he made during a financial year.

How is this recorded in the partner's accounts?

- A** credit the partner's capital account
B credit the partner's current account
C debit the partner's capital account
D debit the partner's current account

- 24** Which organisation is the **most** difficult to establish and has to comply with many legal formalities?

- A** partnership
B sole trader
C limited liability company
D club or society

- 25** Z Limited has the following types of equity and liabilities.

- 1 debentures
- 2 general reserves
- 3 long-term bank loan
- 4 ordinary share capital
- 5 preference share capital (non-redeemable)
- 6 retained earnings

What is included in the company's shareholders' equity?

- A** 1, 2, 4 and 5
B 1, 3, 4 and 5
C 2, 3, 4 and 6
D 2, 4, 5 and 6

- 26** A sports club operates a shop selling running shoes to members. These shoes are purchased on credit terms from suppliers.

Which item is recorded in the receipts and payments account?

- A** inventory of shoes
- B** payments to suppliers
- C** purchases of shoes
- D** shop profit or loss

- 27** Which cost is a direct factory cost?

- A** carriage outwards
- B** depreciation of factory machinery
- C** factory supervisors' wages
- D** manufacturing royalties

- 28** A manufacturing business provided the following information.

	\$
closing work in progress	840
factory overheads	20 945
opening work in progress	910
prime cost	40 750

What was the factory cost of production?

- A** \$19 735 **B** \$19 875 **C** \$61 625 **D** \$61 765

- 29** Elaine is starting a business.

She wants to make sure she doesn't miss out on any cash discount which is offered to her.

Which action would help her achieve this?

- A** issuing her invoices promptly
- B** maintaining full accounting records of dealings with suppliers
- C** making purchases in bulk
- D** undertaking credit checks on all prospective customers

30 Ahmed provided the following information.

	\$
trade receivables at 1 January 2022	15 000
for the year ended 31 December 2022:	
credit sales	85 000
cash sales	12 000
cheques received from trade receivables	65 000
irrecoverable debts	2 000

By how much had the trade receivables **increased** by the end of the financial year?

- A** \$18 000 **B** \$30 000 **C** \$33 000 **D** \$45 000

31 A business provided the following information.

revenue	\$20 000
gross margin	25%
profit margin	10%

There was no other income.

How much were expenses?

- A** \$2000 **B** \$2250 **C** \$3000 **D** \$5000

32 A business has the following assets and liabilities.

	\$
inventory	2000
trade receivables	4000
trade payables	1100
bank overdraft	3100

The owner plans to pay some of his own funds into the business bank account to increase the current ratio to 2 : 1.

How much does he need to pay into the business bank account to achieve this?

- A** \$900 **B** \$1200 **C** \$1900 **D** \$2200

33 Lynne provided the following information about her trading business.

	\$
for the year ended 31 August 2023	
revenue: cash sales	250 000
credit sales	230 000
at 31 August 2023	
trade receivables	19 530
other receivables	2 100

What was Lynne's trade receivables turnover?

- A** 15 days **B** 17 days **C** 31 days **D** 35 days

34 A trader values his inventory on the same basis at the end of each financial year.

Which accounting principle is the trader observing?

- A** consistency
B duality
C matching
D realisation

35 Jack is a shareholder in a company. He received the company's financial statements.

Why did he find the financial statements relevant?

- A** He was confident that they did not contain errors.
B The financial information was clearly presented.
C The same depreciation methods had been used as in previous years.
D They confirmed his expectations about the future of the company.

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Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1

October/November 2023

MARK SCHEME

Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2023 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

Question	Answer	Marks
1	B	1
2	A	1
3	C	1
4	C	1
5	B	1
6	C	1
7	D	1
8	A	1
9	D	1
10	B	1
11	A	1
12	A	1
13	C	1
14	B	1
15	B	1
16	A	1
17	B	1
18	A	1
19	A	1
20	C	1
21	B	1
22	D	1
23	D	1
24	C	1
25	D	1
26	B	1
27	D	1
28	D	1

Question	Answer	Marks
29	B	1
30	A	1
31	C	1
32	B	1
33	C	1
34	A	1
35	D	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1 Multiple Choice

May/June 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



- 1 Which task is performed by a book-keeper?
- A analysing accounting ratios
 - B interpreting the income statement
 - C posting entries from the journals to the ledgers
 - D preparing a statement of financial position
- 2 Which statement is correct?
- A Accounting involves measuring profits and losses.
 - B Accounting is the recording of financial transactions.
 - C Book-keeping involves communicating financial data.
 - D Book-keeping requires the use of ratio analysis.
- 3 In which book of prime entry does a trader record cash discount received?
- A cash book
 - B general journal
 - C purchases journal
 - D sales journal
- 4 The analysis columns of a petty cash book show the following totals.

	\$
postage	20
stationery	31

How should these totals be posted to the ledger?

- A credit bank account with \$51
- B credit postage account with \$20 and stationery account with \$31
- C debit cash account with \$51
- D debit postage account with \$20 and stationery account with \$31

5 Which business documents are **not** entered in the books of prime entry?

1. credit note
2. debit note
3. invoice
4. statement of account

A 1 and 3 B 1 only C 2, 3 and 4 D 2 and 4 only

6 A trader has the following ledger account.

heat and light account					
		\$			\$
year 1			year 1		
January 1	balance b/d	400	December 31	income statement	4850
December 31	bank	4200			
December 31	balance c/d	<u>250</u>			
		<u>4850</u>			<u>4850</u>
			year 2		
			January 1	balance b/d	250

What does the balance on 1 January, year 2 represent?

- A heat and light outstanding
- B heat and light refunded
- C overpayment of heat and light
- D prepayment of heat and light

7 Which statement about a trial balance is correct?

- A It is a list of the ledger balances on a particular date.
- B It is part of the double entry system of book-keeping.
- C It is proof that all items have been posted to the correct accounts.
- D It is proof that all transactions have been entered in the books of account.

- 8 Trevor prepared his financial statements for the year ended 31 December 2020. He then discovered that he had omitted to record a cash payment, \$240, for insurance for the 12 months ending 30 November 2021.

What was the effect of this error on his statement of financial position?

	cash	other receivables	capital
A	\$240 overstated	\$20 understated	\$220 overstated
B	\$240 overstated	\$220 understated	\$20 overstated
C	\$240 understated	\$20 overstated	\$220 understated
D	\$240 understated	\$220 overstated	\$20 understated

- 9 A payment of \$68 for insurance has been entered in the insurance account as \$86.

Which double entry will correct this?

	debit	credit
A	insurance \$18	suspense \$18
B	insurance \$36	suspense \$36
C	suspense \$18	insurance \$18
D	suspense \$36	insurance \$36

- 10 A business has received a bank statement. The bank statement shows the following entries.

1. a cheque issued to a credit supplier
2. a cheque received from a credit customer
3. a monthly rent payment made by standing order
4. charges made by the bank

Which items appear in the debit column of the bank statement?

- A** 1, 3 and 4 **B** 1 and 3 only **C** 1 only **D** 2

- 11 On 31 May the bank statement of a business showed a positive bank balance of \$1790. Comparing the bank statement with the cash book the following items were discovered.

The bank had charged \$35 in error.

Unpresented cheques totalled \$550.

Uncredited deposits totalled \$250.

What was the cash book balance?

- A \$1455 B \$1490 C \$1525 D \$2125

- 12 What would **not** be included in a sales ledger control account?

- A cash sales recorded in the cash book
 B cheques received from credit customers recorded in the cash book
 C goods sold on credit recorded in the sales journal
 D irrecoverable debts written off recorded in the journal

- 13 Nadia provided the following information for the month of July.

	\$
1 July sales ledger control account balance debit	1750
credit	215
For the month of July: total of sales journal	5500
total of sales returns journal	360
cheques received from credit customers	4840
irrecoverable debt written off	280
interest charged on credit account	5

There was no credit balance on the account on 1 August.

What was the debit balance brought down on the sales ledger control account on 1 August?

- A \$1550 B \$1560 C \$1980 D \$1990

- 14** Samir runs a car hire business. He received cash payments for car hire. He also received the proceeds from the sale of an old vehicle.

Which type of receipts were they?

	car hire	proceeds from sale of an old vehicle
A	capital	capital
B	capital	revenue
C	revenue	capital
D	revenue	revenue

- 15** The following ledger account appeared in the books of a trader.

Rent receivable account					
		\$			\$
2020			2020		
Dec 31	balance c/d	600	Jan 1	balance b/d	400
			Dec 31	bank	3600

Which entry was made in the income statement for the year ended 31 December 2020 for rent receivable?

- A** \$3400 credit
B \$3400 debit
C \$3800 credit
D \$3800 debit
- 16** Mandeep depreciates his motor vehicles at the rate of 20% using the straight-line method. A full year's depreciation is provided in the year of purchase.

Mandeep bought a motor vehicle on 1 January 2017 for \$20 000. On 1 June 2020 he bought a second motor vehicle for \$10 000.

What was the depreciation charge on motor vehicles for the year ended 31 December 2020?

- A** \$2000 **B** \$4000 **C** \$5000 **D** \$6000

17 Why does a trader maintain a provision for doubtful debts?

1. to ensure amounts owing to the business for which payment is unlikely to be received are regarded as an expense
2. to ensure the trade receivables of the business are not overstated, by providing for debts which are unlikely to be paid
3. to identify credit customers who are not able to settle their accounts by the end of the financial year
4. to provide for the amounts from credit customers which are unpaid at the end of the financial year

A 1 and 2 B 1, 3 and 4 C 2 and 3 only D 2, 3 and 4

18 Why is inventory valued at the lower of cost and net realisable value?

- A to avoid overstating current assets and sales
- B to avoid overstating profit and current assets
- C to avoid understating current assets and sales
- D to avoid understating profit and current assets

19 At the end of the financial year Cindy valued her inventory at cost. This valuation incorrectly included damaged goods costing \$300. Cindy estimated these goods could be sold for \$100.

What is the effect of **correcting** the inventory valuation?

	gross profit	profit for the year	current assets
A	decreases by \$200	decreases by \$200	decreases by \$200
B	decreases by \$300	decreases by \$300	decreases by \$300
C	increases by \$100	increases by \$100	increases by \$100
D	increases by \$200	increases by \$200	increases by \$200

20 Which business is **not** a service business?

- A accountant's practice
- B computer repair shop
- C flower shop
- D hairdressing salon

- 21** A trader was preparing her statement of financial position at 30 June 2021. She had four bank loans.

loan	date repayable	\$
1	1 December 2021	5 000
2	1 December 2022	10 000
3	1 September 2023	8 000
4	1 December 2025	6 000

What was the total amount of loans that should be recorded as non-current liabilities at 30 June 2021?

- A** \$14 000 **B** \$15 000 **C** \$23 000 **D** \$24 000
- 22** What is shown in a partnership appropriation account?
- A** the capital contributed by each partner
B the distribution of profit/loss among the partners
C the partners' current account balances
D the interest on a partner's loan account
- 23** Rajid and Sunil formed a partnership on 1 January 2019 but did not prepare a partnership agreement. They provided the following information.

	Rajid	Sunil
capital introduced 1 January 2019	\$40 000	\$20 000
during the year ended 31 December 2019		
drawings	\$5 000	\$3 500
share of work	50%	50%

They decided to draw up a partnership agreement for future years.

Which item would be most beneficial to Rajid in 2020?

- A** interest on capital
B interest on drawings
C limit on annual drawings
D partnership salaries

24 A company supplied the following information.

	\$
issued and paid up share capital	300 000
general reserve	45 000
long-term bank loan	8 000
retained earnings	35 000
6% debentures	25 000

What is the total equity?

- A** \$335 000 **B** \$345 000 **C** \$380 000 **D** \$413 000

25 Which apply to both debentures and preference shares?

	no voting rights	fixed rate of return	included in capital employed
A	✓	✓	✓
B	✓	x	✓
C	x	✓	x
D	x	x	x

- 26** The AB Sports Club runs a café for the use of members.

The treasurer prepared draft financial statements which showed a deficit of \$700 and an accumulated fund of \$4600.

He then discovered that the closing inventory of the café had been overvalued by \$50.

How much were the deficit and the accumulated fund **after** the inventory valuation had been corrected?

	deficit \$	accumulated fund \$
A	650	4550
B	650	4650
C	750	4550
D	750	4650

- 27** Which accounting statement prepared by the treasurer of a sports club provides a summary of all the monies received and paid out during the financial year?

- A** bank reconciliation statement
- B** income and expenditure account
- C** receipts and payments account
- D** statement of financial position

- 28** At the end of the financial year, a manufacturing business owed rent on its factory. The business adjusted its financial statements to account for this.

What effects did this adjustment have?

	prime cost	cost of production	gross profit
A	decrease	decrease	increase
B	no effect	increase	decrease
C	no effect	no effect	decrease
D	increase	increase	decrease

29 What is a direct cost for a manufacturer?

- A** carriage outwards
- B** depreciation of delivery vehicle
- C** factory supervisor's salary
- D** production royalties

30 A business uses 20% mark up to arrive at its selling prices. During the year it made purchases of \$35 000 and the inventory decreased from \$7000 to \$2000.

What was the revenue for the year?

- A** \$36 000 **B** \$40 000 **C** \$42 000 **D** \$48 000

31 What is needed for the preparation of a statement of affairs?

- A** a trial balance
- B** an income statement
- C** books of prime entry
- D** values of assets and liabilities

32 A trader provided the following information.

	\$
cash purchases for the year	146 000
credit purchases for the year	108 000
trade payables at the year end	14 000

What was the trader's trade payables turnover?

- A** 6 days
- B** 13 days
- C** 21 days
- D** 48 days

33 George provided the following information.

	\$
non-current assets	15 000
inventory	12 000
trade receivables	18 000
trade payables	8 000

His liquid (acid test) ratio was 1.2 : 1.

What was his bank overdraft?

- A** \$7000 **B** \$15 000 **C** \$17 000 **D** \$29 500

34 The following ratios have been calculated for a trader.

	year 1	year 2
profit margin	15%	20%
return on capital employed (ROCE)	9%	6%

What explains these changes?

- A** Drawings have increased by more than profit for the year.
B Gross profit has increased but profit for the year has decreased.
C Profit for the year has increased and capital has been introduced.
D Profit for the year has increased and a long-term loan has been repaid.

35 William is a trader. He has received an order from James to supply goods on credit.

When should William regard the revenue as earned?

- A** when William accepts the order from James
B when William delivers the goods to James
C when William receives full payment for the goods from James
D when William receives the first payment on account from James

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Cambridge IGCSE™ (9–1)

ACCOUNTING**0985/11**

Paper 1

May/June 2024**MARK SCHEME**Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	A	1
3	A	1
4	D	1
5	D	1
6	A	1
7	A	1
8	B	1
9	C	1
10	A	1
11	C	1
12	A	1
13	B	1
14	C	1
15	A	1
16	D	1
17	A	1
18	B	1
19	A	1
20	C	1
21	D	1
22	B	1
23	A	1
24	C	1
25	A	1
26	C	1
27	C	1
28	B	1

Question	Answer	Marks
29	D	1
30	D	1
31	D	1
32	D	1
33	A	1
34	C	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

May/June 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



- 1 How does a trader use the information provided by financial statements?
- A to calculate the amount of cash drawings taken
 - B to calculate the amount that is owed by trade receivables
 - C to check the balance shown on a bank statement
 - D to compare the business performance over a number of years
- 2 The balances remaining on the books of a business after the preparation of the income statement included the following:

	\$
loan from XYZ Finance	10 000
wages due	620
rent prepaid	240
trade receivables	3 300
trade payables	4 650
motor vehicles	8 000
provision for depreciation of motor vehicles	2 000

What was the total of the liabilities?

- A \$13 920 B \$14 890 C \$15 270 D \$17 270
- 3 Jameel's financial year ends on 31 December. On 1 January 2021 he brought down a debit balance on his stationery account.

What does this balance represent?

- A amount owing for stationery on 1 January 2021
- B amount paid for stationery during 2020
- C cost of stationery used during 2020
- D inventory of stationery on 1 January 2021

- 4 Alex issued credit notes in August and entered them in the correct book of prime entry.

How was the total of this book of prime entry recorded in the nominal ledger at the end of August?

- A credited to the purchases returns account
 - B debited to the purchases returns account
 - C credited to the sales returns account
 - D debited to the sales returns account
- 5 Which business documents are used as sources of information to make entries in the cash book?
- A bank statement, cheque counterfoil, invoice, paying-in slip
 - B bank statement, cheque counterfoil, invoice, receipt
 - C bank statement, cheque counterfoil, paying-in slip, receipt
 - D cheque counterfoil, paying-in slip, petty cash voucher, receipt
- 6 What is the double entry for recording a cheque payment to a credit supplier?

	debit	credit
A	bank account	purchases ledger account
B	bank account	sales ledger account
C	purchases ledger account	bank account
D	sales ledger account	bank account

- 7 A book-keeper made two errors which cancelled each other out.

Which type of error did he make?

- A compensating
- B complete reversal
- C original entry
- D principle

- 8 The totals of a trial balance did not agree and \$200 was debited to a suspense account. The book-keeper then checked the books and found the following two errors.

1. A sales invoice for \$700 had been recorded in the sales journal as \$770.
2. The sales journal had been totalled incorrectly.

What error was made when the sales journal was totalled?

- A** overcast by \$130
- B** overcast by \$200
- C** undercast by \$130
- D** undercast by \$200
- 9 A trader took some goods from the business for his own use. He credited the purchases account with the cost price of the goods, \$200, and credited the sales account with the selling price, \$300.

Which entries did he make to correct the error?

	debit	\$	credit	\$
A	drawings income statement	200 100	suspense	300
B	drawings sales	200 300	suspense	500
C	suspense	300	drawings income statement	200 100
D	suspense	500	drawings sales	200 300

- 10 What would result in the cash book balance being lower than the bank statement balance?
- A** A cheque received from a customer was not recorded in the bank statement.
- B** A customer's cheque dishonoured by the bank appeared only on the bank statement.
- C** Payment by a customer directly into the bank was not recorded in the cash book.
- D** Payment of insurance by standing order was not recorded in the cash book.

- 11** The bank statement of a business showed a credit balance of \$280 on 31 December.

At that date there were unpresented cheques of \$312.

A standing order of \$20 had been incorrectly entered as \$22 on the bank statement.

What was the balance in the bank column of the cash book on 31 December?

- A** \$30 credit
 - B** \$30 debit
 - C** \$34 credit
 - D** \$34 debit
- 12** A business keeps a complete set of books of accounts.

What is **not** used as a source of information for making entries in control accounts?

- A** cash book
 - B** general journal
 - C** purchases journal
 - D** sales ledger
- 13** Which item would **not** appear in the purchases ledger control account?
- A** contra entry
 - B** discounts received
 - C** interest charged
 - D** returns inwards

- 14** The cost of repairs to machinery was debited to the machinery account.

What was the effect of this error?

	non-current assets	profit for the year
A	overstated	overstated
B	overstated	understated
C	understated	overstated
D	understated	understated

- 15** Elzevir purchased a motor vehicle costing \$8000 on 1 January 2018. It is depreciated at 40% on the reducing balance basis.

Which journal entry records the depreciation for the year ended 31 December 2019?

		debit \$	credit \$
A	income statement provision for depreciation of motor vehicles	1920	1920
B	income statement provision for depreciation of motor vehicles	3200	3200
C	provision for depreciation of motor vehicles motor vehicles	1920	1920
D	provision for depreciation of motor vehicles motor vehicles	3200	3200

- 16** A trader sold one of his vehicles.

What is the journal entry to remove the total depreciation on the vehicle sold?

	account debited	account credited
A	disposal of motor vehicles	provision for depreciation of motor vehicles
B	income statement	disposal of motor vehicles
C	provision for depreciation of motor vehicles	motor vehicles
D	provision for depreciation of motor vehicles	disposal of motor vehicles

- 17** Why is it important to match costs and revenues?

- A** so that every debit entry has a corresponding credit entry
- B** so that the business does not incur any losses
- C** to enable a better comparison of profit from year to year
- D** to ensure that the bank balance is accurate

- 18 Devendra prepared the following journal entry.

	debit \$	credit \$
irrecoverable debts	714	
Tobias		714

Which statement is correct?

- A Devendra has provided for a doubtful debt owed by Tobias.
 - B Devendra has received the amount due from Tobias.
 - C Tobias cannot pay the amount due to Devendra.
 - D Tobias paid an amount previously written off by Devendra.
- 19 Alex purchased goods costing \$1000. She planned to resell the goods at a mark-up rate of 25%. These goods were unsold at the year end and were found to be damaged. Alex estimated that they could be sold for \$600.

What value should be shown for these goods in the year-end financial statements?

- A \$400 B \$600 C \$750 D \$1250
- 20 'Unlimited liability' is one of the disadvantages of operating as a sole trader.

What is the correct explanation of unlimited liability?

- A A sole trader cannot take a bank loan.
 - B A sole trader has to manage their business alone.
 - C A sole trader cannot use their private funds to repay business loans.
 - D A sole trader may lose both their business and personal funds.
- 21 Which item is a current asset?
- A bank overdraft
 - B loan repayable in 12 months
 - C prepaid income
 - D work in progress

22 Where is interest on drawings entered in the accounting records of a partnership business?

	appropriation account	partner's capital account	partner's current account
A	debit	no entry	credit
B	credit	no entry	debit
C	debit	credit	no entry
D	credit	debit	no entry

23 T Limited was formed on 1 April 2019. A total of 220 000 shares of \$2 each were issued and shareholders were asked to pay 75% of the share value immediately and 25% on 1 April 2020.

By 1 June 2019 holders of 190 000 shares had paid the amount due.

What was the paid up capital on 1 June 2019?

A \$285 000 **B** \$330 000 **C** \$380 000 **D** \$440 000

24 Which items would appear in the statement of changes in equity of X Limited for the year ended 30 June 2020?

1. interim dividend paid on 31 March 2020
2. proposed dividend for the year ended 30 June 2020
3. proposed final dividend for the year ended 30 June 2019 paid on 31 October 2019
4. transfer to general reserve on 30 June 2020

A 1, 3 and 4 **B** 1 and 3 only **C** 2, 3 and 4 **D** 2 and 4 only

25 A company's financial year ends on 31 March.

On 31 March 2021 trade receivables were \$45 000. On 31 March 2022 trade receivables were \$41 000. An irrecoverable debt of \$1000 is yet to be written off at 31 March 2022.

The provision for doubtful debts is to be maintained at 5%.

What is the effect of the irrecoverable debt and the adjustment to the provision for doubtful debts on the profit for the year ended 31 March 2022?

- A** decrease \$750
- B** decrease \$800
- C** decrease \$1200
- D** decrease \$1250

- 26** A club received subscriptions from members totalling \$12 600 in the year ended 30 April 2019.

The following information was available.

	at 30 April 2018 \$	at 30 April 2019 \$
subscriptions paid in advance	1300	—
subscriptions in arrears	800	1100

Which amount appeared in the income and expenditure account for subscriptions for the year ended 30 April 2019?

- A** \$ 11 000 **B** \$11 600 **C** \$13 600 **D** \$14 200
- 27** Which statements about the accumulated fund of a society are correct?
1. A surplus will increase the accumulated fund and a deficit will reduce it.
 2. It includes all monies received and paid during the year.
 3. Members cannot make drawings from the accumulated fund.
 4. The accumulated fund is shown as an asset in the statement of financial position.
- A** 1, 2 and 4 **B** 1 and 3 **C** 2, 3 and 4 **D** 3 only
- 28** A manufacturing company provided the following information.

	\$
cost of raw materials	186 000
direct wages	75 000
machinery depreciation	45 000
factory supervisor's salary	32 000
factory rent	24 000
machinery repairs	18 000

What was the prime cost of manufacturing?

- A** \$186 000 **B** \$261 000 **C** \$293 000 **D** \$380 000

- 29** Sam's work in progress was \$6500 at the start of the year and \$11 200 at the end of the year.

When Sam prepared his manufacturing account, he forgot to make the adjustment for work in progress.

How did this omission affect the cost of production and the gross profit?

	cost of production	gross profit
A	overstated	overstated
B	overstated	understated
C	understated	overstated
D	understated	understated

- 30** Roshan's sales for his first year of trading were \$55 000. His gross profit margin was 20%. The closing inventory was \$3200.

What were the purchases for the year?

- A** \$41 250 **B** \$44 000 **C** \$44 450 **D** \$47 200

- 31** Miriam does not maintain a full set of accounting records. Only the purchases for the year and asset and liability values at the year end are known.

Which financial statements can be prepared using this information?

	income statement	statement of affairs
A	✓	✓
B	✓	✗
C	✗	✓
D	✗	✗

32 Abhinav provided the following information.

	year ended 31 December 2019 \$	year ended 31 December 2020 \$
purchases	112 500	124 000
cost of sales	115 500	120 000

inventory	\$
1 January 2019	7000
31 December 2019	4000
31 December 2020	8000

What was the rate of inventory turnover for the year ended 31 December 2020?

- A** 15 times **B** 20 times **C** 21 times **D** 30 times

33 Miranda's gross margin fell from 25% in year 1 to 15% in year 2.

What may have caused this?

- A** Miranda paid less for her purchases in year 2.
B Miranda purchased fewer goods in year 2.
C Miranda reduced her selling prices in year 2.
D Miranda sold fewer goods in year 2.

34 Ralph wants to compare the accounting ratios for his business with the accounting ratios of his brother's business.

What would prevent Ralph from making a meaningful comparison?

- A** The businesses buy from different suppliers.
B The businesses have different selling prices.
C The businesses present their ledger accounts differently.
D The businesses use different accounting policies.

35 Which statement correctly describes the principle of realisation?

- A** Profit is earned when a cheque is received from a customer in payment for goods supplied.
- B** Profit is earned when a cheque received from a customer is paid into the business bank account.
- C** Profit is earned when the goods are supplied, and ownership passes to the customer.
- D** Profit is earned when the customer places an order for the goods.

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Cambridge IGCSE™ (9–1)

ACCOUNTING**0985/12**

Paper 1

May/June 2024**MARK SCHEME**Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	D	1
4	D	1
5	C	1
6	C	1
7	A	1
8	B	1
9	B	1
10	C	1
11	A	1
12	D	1
13	D	1
14	A	1
15	A	1
16	D	1
17	C	1
18	C	1
19	B	1
20	D	1
21	D	1
22	B	1
23	A	1
24	A	1
25	A	1
26	D	1
27	B	1
28	B	1

Question	Answer	Marks
29	B	1
30	D	1
31	C	1
32	B	1
33	C	1
34	D	1
35	C	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

October/November 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **16** pages. Any blank pages are indicated.



- 1 A trader prepares financial statements each year.

What do these help the trader to do?

- A calculate the amount owing to credit suppliers
- B calculate the cash drawings
- C check the bank statement balance
- D make decisions about the future

- 2 A trader bought new fixtures. He paid half the purchase price in cash and agreed to pay the balance at a later date.

How does this purchase affect the accounting equation?

	assets	owner's equity	liabilities
A	decrease	decrease	no effect
B	decrease	no effect	increase
C	increase	decrease	increase
D	increase	no effect	increase

- 3 Which account is **not** kept in the nominal ledger?

- A capital
- B cash
- C inventory
- D purchases

- 4 On 15 February Kalou made the following entries in his accounts.

debit	\$	credit	\$
bank	228	Droghba	240
discount allowed	12		

Which transaction was being recorded?

- A Droghba paid Kalou by cheque after taking a cash discount.
 - B Droghba paid Kalou by cheque after taking a trade discount.
 - C Kalou paid Droghba by cheque after taking a cash discount.
 - D Kalou paid Droghba by cheque after taking a trade discount.
- 5 Ranjit is a credit customer of Balbir. In April the following activities took place.

Balbir sold goods on credit to Ranjit.

Ranjit advised Balbir that some of the goods were damaged.

Balbir advised Ranjit of a reduction in the amount owing.

Which documents were used to record these activities?

- A debit note, credit note and receipt
 - B invoice, credit note and receipt
 - C invoice, credit note and statement of account
 - D invoice, debit note and credit note
- 6 What is an advantage to a business of maintaining books of prime entry?
- A A trial balance can be extracted directly from books of prime entry.
 - B Similar transactions are listed together in date order for reference.
 - C There is no need to make double entries in the ledger.
 - D Trade receivables and trade payables totals are readily available.

7 Which items appear on the debit side of a trial balance?

- 1 amounts owed from credit customers
- 2 discount received from credit suppliers
- 3 drawings made by the owner
- 4 overdrawn balance at the bank

A 1 and 2 **B** 1 and 3 **C** 2 and 4 **D** 3 and 4

8 A trader had prepared her year-end financial statements. She later discovered that an adjustment to reduce the provision for doubtful debts by \$100 had not been made.

How did this error affect the trader's statement of financial position?

	current assets		capital	
		\$		\$
A	overstated	100	overstated	100
B	overstated	100	understated	100
C	understated	100	overstated	100
D	understated	100	understated	100

9 A trader's draft income statement showed a profit for the year of \$24 500.

The following errors were later discovered.

- 1 No adjustment had been made for accrued income of \$8000.
- 2 Carriage inwards of \$250 had been recorded as carriage outwards.
- 3 An increase in provision for doubtful debts of \$120 had been treated as an addition to the gross profit for the year.

What was the corrected profit for the year?

A \$32 010 **B** \$32 260 **C** \$32 380 **D** \$32 740

- 10 The bank statement of a business had a credit balance of \$2690 on 31 October. At that date cheques issued which had not been presented totalled \$850.

What was the bank balance in the cash book on 31 October?

- A \$1840 credit
 - B \$1840 debit
 - C \$3540 credit
 - D \$3540 debit
- 11 The bank column of a trader's cash book showed an overdrawn balance of \$1200. When the trader compared the cash book with the bank statement he found the following items were **not** included in the cash book.

	\$
bank charges	100
credit transfer	400
direct debit	60

What was the balance brought down in the bank column of the cash book after it was updated?

- A \$960 credit
 - B \$960 debit
 - C \$1640 credit
 - D \$1640 debit
- 12 What is an advantage of preparing a monthly sales ledger control account?
- A It is necessary to prepare the income statement.
 - B It helps to reduce the possibility of fraud.
 - C It provides a check on the accuracy of trade payables' accounts.
 - D It shows the total of the cash sales and credit sales.

- 13** A summary of Jim's cash book for the year included the following:

	\$
total cheques paid to suppliers	3750
total discount received	65

Which entries are made in his purchases ledger control account?

	debit	\$	credit	\$
A	bank	3750	discount received	65
B	bank discount received	3750 65	—	—
C	—	—	bank discount received	3750 65
D	discount received	65	bank	3750

- 14** Hamid owns a grocery store. He bought a motor vehicle, \$2000, and fuel, \$50. Both of these amounts were incorrectly debited to the purchases account.

What was the effect of this error on the income statement for the year?

	gross profit		motor vehicle expenses	
		\$		\$
A	overstated	2000	overstated	2050
B	overstated	2050	overstated	50
C	understated	2000	understated	2050
D	understated	2050	understated	50

- 15** Which statements are correct about depreciation?

- 1 It is a non-cash expense item.
- 2 It is an estimated amount.
- 3 It is the amount of money set aside to replace a non-current asset.
- 4 It is a gradual loss in the value of a current asset.

- A** 1, 2 and 3 **B** 1 and 2 only **C** 2, 3 and 4 **D** 2 and 4 only

- 16** A machine with an original cost of \$10 000 had been depreciated for two years at the rate of 10% per annum using the straight-line method. It was then sold for cash with the loss on disposal amounting to \$700.

A replacement machine was bought on the same day for \$12 400 cash.

What was the net decrease in the cash balance?

- A** \$3700 **B** \$5100 **C** \$11 700 **D** \$13 100

- 17** Abdul is a trader. He rents out part of his warehouse to other businesses.

Abdul is preparing his financial statements for the year ended 31 December. His rental income account shows that:

rent received during the year totalled \$2750

rental income transferred to the income statement was \$3000

What does the closing balance on the rental income account represent?

- A** accrued income
B an accrued expense
C an expense paid in advance
D income received in advance

- 18** What is the journal entry required to close the irrecoverable debts account at the year end?

	account to be debited	account to be credited
A	income statement	irrecoverable debts
B	irrecoverable debts	income statement
C	irrecoverable debts	trade receivables
D	trade receivables	irrecoverable debts

19 After preparing draft financial statements at the end of her first year of trading, Lucy discovered two errors.

- 1 Damaged inventory had been valued at its cost price of \$340. It was expected to sell for \$180.
- 2 100 items which had been expected to sell for \$12 each had been valued at their cost price of \$7 each. Carriage inwards of \$1 for each item had not been included in the cost.

What was the effect of these errors on the gross profit?

- A** overstated \$60
- B** overstated \$240
- C** understated \$60
- D** understated \$240

20 Which items would appear in the income statement for an accountancy business?

	gross profit	profit for the year	surplus
A	✓	✓	✗
B	✓	✗	✓
C	✗	✓	✗
D	✗	✗	✓

21 A business provided the following information.

	\$
long-term loan	20 000
trade receivables	12 000
trade payables	9 700
bank overdraft	2 000
prepaid insurance	400
accrued wages	1 000
rental income prepaid	500

What was the total of the current liabilities?

- A** \$13 200
- B** \$15 400
- C** \$31 200
- D** \$32 700

22 What is an advantage to a trader of forming a partnership?

- A** continuity of existence
- B** decision making is quicker
- C** profits are shared
- D** risks are shared

23 Which items should be entered in the appropriation account of a partnership?

	interest on partners' drawings	interest on partners' loans	partners' drawings
A	✓		
B	✓		✓
C	✓	✓	
D		✓	✓

24 X Limited provided the following information.

	\$
ordinary share capital	300 000
general reserve	50 000
retained earnings	35 000
8% debenture	60 000

What was the total of the equity?

- A** \$335 000 **B** \$350 000 **C** \$385 000 **D** \$445 000

25 Which item is shown in the income statement **and** in the statement of changes in equity of a limited company?

- A** accrued interest on debentures
- B** ordinary share dividend paid
- C** profit for the year
- D** transfer to general reserve

- 26** The Daylee Sports Club was formed in January. During its first year the club purchased equipment costing \$5000, paying by cheque.

Which of the club's financial statements are affected by the purchase of this equipment?

	receipts and payments account	income and expenditure account	statement of financial position
A	✓	✓	
B	✓		✓
C		✓	✓
D			✓

- 27** The following ledger account appeared in the books of a club for the year ended 31 December.

Subscriptions account					
		\$			\$
Jan 1	Balance b/d	2 000	Dec 31	Bank	29 000
Dec 31	Income and expenditure	24 000			
	Balance c/d	<u>3 000</u>			<u> </u>
		<u>29 000</u>			<u>29 000</u>

Which statement is correct?

- A** Subscriptions prepaid on 1 January amounted to \$2000.
B Subscriptions prepaid on 31 December amounted to \$3000.
C Subscriptions received during the year ended 31 December amounted to \$24 000.
D Subscriptions relating to the year ended 31 December amounted to \$29 000.

- 28** After a manufacturing account had been completed it was discovered that wages paid to factory cleaners had not been included.

Which items in the manufacturing account would change **after** this error was corrected?

- 1 direct wages
- 2 indirect wages
- 3 prime cost
- 4 production cost

A 1 and 2 **B** 1, 3 and 4 **C** 2 and 4 **D** 3 and 4 only

- 29** W Limited manufactures motorbikes. The following information relates to the first year in business.

	\$
purchases of motorbike parts	40 000
wages of factory workers	25 000
production overheads	8 000
inventory of motorbike parts at the year end	3 000
inventory of partly finished motorbikes at the year end	7 000

What was the cost of production of the motorbikes completed during the year?

A \$63 000 **B** \$65 000 **C** \$70 000 **D** \$77 000

- 30** Anya did not keep a full set of double entry records but provided the following information.

	\$
At 1 February 2022	
capital	10 000
At 31 January 2023	
bank overdraft	1 500
equipment	20 000
inventory	2 000
trade receivables	15 000
trade payables	10 500

Anya's drawings during the year ended 31 January 2023 were \$8500.

What was her profit for the year ended 31 January 2023?

- A** \$23 500 **B** \$25 000 **C** \$26 500 **D** \$29 500
- 31** A jewellery retailer marks up his goods by 100%.

He provided the following information.

	\$
revenue	68 200
discount received	1 080
profit for the year	18 395

What was the total of his expenses?

- A** \$14 625 **B** \$16 785 **C** \$48 725 **D** \$50 885
- 32** Omar had an increase in his gross profit margin.

What could have caused this?

- A** a decrease in the selling price of his goods
B an increase in the quantity of goods purchased
C a decrease in the purchase price of his goods
D an increase in the quantity of goods sold

- 33** Who would be interested in the value of non-current assets which a business has available as security?
- A** bank manager
 - B** credit customers
 - C** employees and trade unions
 - D** government departments
- 34** Which accounting principle is the accounting equation based on?
- A** duality
 - B** going concern
 - C** materiality
 - D** realisation
- 35** Which qualitative factor requires that financial information is provided in a timely manner so that it can be used for decision making?
- A** comparability
 - B** relevance
 - C** reliability
 - D** understandability

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Cambridge IGCSE™ (9–1)

ACCOUNTING**0985/12**

Paper 1 Multiple Choice

October/November 2024**MARK SCHEME**Maximum Mark: 35

Published

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Question	Answer	Marks
1	D	1
2	D	1
3	B	1
4	A	1
5	D	1
6	B	1
7	B	1
8	D	1
9	B	1
10	B	1
11	A	1
12	B	1
13	B	1
14	D	1
15	B	1
16	B	1
17	A	1
18	A	1
19	A	1
20	C	1
21	A	1
22	D	1
23	A	1
24	C	1
25	C	1
26	B	1
27	B	1
28	C	1

Question	Answer	Marks
29	A	1
30	A	1
31	B	1
32	C	1
33	A	1
34	A	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/11

Paper 1 Multiple Choice

May/June 2025

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **16** pages. Any blank pages are indicated.



1 Which task will **not** be performed by a book-keeper?

- A calculating accounting ratios
- B preparing a purchases journal
- C preparing a sales ledger
- D writing up a petty cash book

2 What are assets?

	amounts owed to a business	amounts owed by a business	items owned by a business
A	no	no	yes
B	no	yes	yes
C	yes	no	yes
D	yes	yes	no

3 Sammy bought goods on credit and later returned some of these goods. How would he record the returns in his books of account?

	account debited	account credited
A	purchases	purchases returns
B	purchases returns	supplier
C	purchases returns	purchases
D	supplier	purchases returns

- 4 An account in Peter's books of account was as follows:

Rami			
	\$		\$
bank	380	balance b / d	400
discount received	20		
	400		400

Which statement is correct?

- A** Peter received a discount for buying in bulk.
B Peter received a discount for paying early.
C Rami received a discount for buying in bulk.
D Rami received a discount for paying early.
- 5 At the end of her financial year, Jasmine balanced her cash book and ledger accounts and made appropriate year-end transfers.

Which statements are correct?

- 1 The debit balance on the account of a credit customer will be shown as an asset in the statement of financial position.
- 2 The debit balance on the bank column in the cash book will be shown as a liability in the statement of financial position.
- 3 The total of the discount received account will be included in the cost of sales in the income statement.
- 4 The total of the general expenses account will be deducted from gross profit in the income statement.

- A** 1, 2 and 3 **B** 1, 3 and 4 **C** 1 and 4 only **D** 2 and 3 only

- 6 A trader bought goods on credit from a supplier.

In which book of prime entry would the trader record this transaction?

- A** cash book
B general journal
C purchases journal
D sales journal

7 Which account balance will appear in the debit column of a trial balance?

- A carriage inwards
- B discounts received
- C provision for doubtful debts
- D purchases returns

8 The totals of a trial balance did **not** agree, and a suspense account was opened. It was later found that the total of the discount allowed column in the cash book of \$100 had been credited to the discount allowed account.

Which journal entry corrects this error?

		debit	credit
		\$	\$
A	discount allowed suspense	100	100
B	discount allowed suspense	200	200
C	suspense discount allowed	100	100
D	suspense discount allowed	200	200

9 After calculating his profit for the year, Yui discovered the following errors.

- 1 A purchase of a new motor vehicle for \$3200 was debited to motor expenses.
- 2 The purchases account was overcast by \$500.

What was the effect on the profit for the year **after** correcting these errors (ignore depreciation)?

- A It decreased by \$2700.
- B It decreased by \$3700.
- C It increased by \$2700.
- D It increased by \$3700.

- 10 Jerry received a cheque of \$450 from Fatima. He entered the receipt of the cheque correctly in his cash book. The posting to Fatima's account was reversed in error.

Which journal entry corrects this error?

	account debited	account credited
A	bank \$450	Fatima \$450
B	bank \$900	suspense \$900
C	suspense \$450	bank \$450
D	suspense \$900	Fatima \$900

- 11 Somraj's bank statement showed a credit balance of \$740 at 31 January. Somraj compared the bank statement with his cash book and updated the cash book after he found the following:

	\$
bank charges not recorded in the cash book	30
cheque paid but not presented to the bank	150

What was the updated cash book balance at 31 January?

- A** \$590 **B** \$620 **C** \$860 **D** \$890
- 12 George is preparing his purchases ledger control account.
- Which information would he obtain from his general journal in order to do this?
- A** contra entries with the sales ledger
B goods returned to credit suppliers
C irrecoverable debts written off
D refunds received from credit suppliers
- 13 Javid's sales ledger control account had a debit balance of \$12 000. Interest of \$40 on an overdue account and also discount allowed of \$150 had been omitted.

What was the correct balance on the sales ledger control account?

- A** \$11 810 **B** \$11 890 **C** \$12 110 **D** \$12 190

- 14** What is the effect of incorrectly treating expenses as capital expenditure?

	income statement	
	profit for the year	expenses total
A	overstated	overstated
B	overstated	understated
C	understated	understated
D	understated	overstated

- 15** Atif depreciates his motor vehicles at a rate of 20% per annum, using the reducing balance method.

On 1 May 2024, Atif owned motor vehicles which had cost \$35 000. The accumulated depreciation on these motor vehicles was \$12 600 on 1 May 2024.

What will be the balance on Atif's provision for depreciation account on 30 April 2025?

- A** \$17 080 **B** \$17 920 **C** \$22 400 **D** \$26 880

- 16** T Limited rents out part of its premises. At the start of the year, the tenant was \$600 in arrears. During the year, T Limited received \$8650 in rent from the tenant. T Limited's income statement showed rent receivable for the year as \$7900.

What was the balance brought down on the rent receivable account at the start of the following year?

- A** \$150 on the credit side
B \$150 on the debit side
C \$1350 on the credit side
D \$1350 on the debit side

- 17** A provision for doubtful debts of 5% of trade receivables is maintained.

At 1 January 2024, the provision for doubtful debts account had a credit balance of \$240.

At 31 December 2024, trade receivables owed \$5200. It was decided that \$200 of this amount was irrecoverable.

Which entry was made in the provision for doubtful debts account on 31 December 2024?

- A** debit \$10
 - B** credit \$10
 - C** debit \$20
 - D** credit \$20
- 18** How should a business value its inventory?
- A** at the higher of cost and net realisable value
 - B** at the lower of cost and net realisable value
 - C** at the higher of selling price and cost
 - D** at the lower of cost and net book value
- 19** Which items are shown in a statement of financial position?

	current assets	revenue	capital	non-current liabilities
A	✓	✓	✓	✗
B	✗	✗	✓	✓
C	✗	✓	✗	✓
D	✓	✗	✓	✓

20 A business provided the following information about two expenses.

	1 January 2024 \$	amount paid during year ended 31 December 2024 \$	31 December 2024 \$
electricity	240 accrued	1500	360 accrued
insurance	180 prepaid	1200	220 prepaid

Which amounts are charged to the income statement for the year ended 31 December 2024?

	electricity \$	insurance \$
A	900	800
B	1380	1240
C	1620	1160
D	2100	1600

21 Which item is a current liability?

- A** bank overdraft
- B** commission receivable
- C** mortgage loan on a property
- D** provision for doubtful debts

22 What is an advantage to a sole trader of forming a partnership?

- A** Decisions are always acted on immediately.
- B** Decisions are taken by the directors.
- C** Partners share profits and losses.
- D** Partners share the responsibilities.

23 Which statements are correct in relation to the financial statements of a partnership?

- 1 Interest on partners' capital is shown as an expense in the income statement.
- 2 Interest on partners' drawings is added to the profit for the year in the appropriation account.
- 3 Partners' current account balances are shown in the statement of financial position.
- 4 Partners' salaries are shown as an expense in the income statement.

A 1 and 2 **B** 2 and 3 **C** 2 and 4 **D** 3 and 4

24 R Limited provided the following information.

	\$
At 1 January 2024	
ordinary share capital	350 000
retained earnings	46 000
general reserve	37 000
For year ended 31 December 2024	
profit for the year	32 000
dividends paid	20 000

What was the value of total equity at the end of the year?

A \$408 000 **B** \$428 000 **C** \$445 000 **D** \$465 000

25 A club included the balance on its accumulated fund in its statement of financial position.

What is the equivalent of the accumulated fund in a statement of financial position of a sole trader?

- A** capital
- B** capital and liabilities
- C** current liabilities
- D** non-current assets

26 Which item is included in a manufacturing account?

- A carriage on purchases of finished goods
- B depreciation of delivery vehicles
- C repairs of factory machinery
- D salaries of office supervisors

27 A trader's assets increased by \$25 000 and liabilities decreased by \$5000 during the year. He took no drawings during the year.

What was the profit or loss for the year?

- A \$20 000 loss
- B \$20 000 profit
- C \$30 000 loss
- D \$30 000 profit

28 A trader does **not** maintain a full set of accounting records.

How could he calculate the profit for the year?

- A closing capital – opening capital – drawings – capital introduced
- B closing capital – opening capital + drawings – capital introduced
- C closing capital – opening capital + drawings + capital introduced
- D closing capital – opening capital – drawings + capital introduced

29 Janice started trading on 1 January. All her sales were made on a cash basis.

During the year, Janice paid wages of \$12 100 and took drawings of \$7800 out of the amount received from customers. She also banked \$56 000 of these receipts. At the year end, she held \$150 of unbanked sales in cash.

Which value for Janice's sales was recorded in the income statement?

- A \$35 950
- B \$36 250
- C \$75 750
- D \$76 050

30 A trader provided the following information.

	\$
revenue	120 000
inventory at the start of the year	9 600
inventory at the end of the year	10 200

A mark-up of 25% is applied.

What were the purchases for the year?

- A** \$89 400 **B** \$90 600 **C** \$95 400 **D** \$96 600

31 A trader provided the following information for the year ended 31 December.

	\$
total cash and credit purchases of goods for resale	150 000
cash purchases of goods for resale	17 000
credit purchases of non-current assets	25 000

His trade payables at that date were \$8000.

What was the trade payables turnover?

- A** 17 days
B 20 days
C 22 days
D 24 days

32 The following information is taken from an income statement.

	\$
cost of sales	15 000
gross profit	10 000
motor expenses	4 000
general expenses	1 000

What is the profit margin for the year?

- A** 20% **B** 24% **C** 36% **D** 40%

33 The trade receivables turnover of a business is 42 days.

Trade receivables are allowed 30 days to settle their accounts.

The business has difficulty paying its credit suppliers.

Which statements are correct?

- 1 Credit customers are taking longer than allowed to pay their accounts.
- 2 It takes on average 42 days to receive payments from credit customers.
- 3 It would be easier to pay credit suppliers if credit customers paid within 30 days.
- 4 The business has an efficient credit control system.

- A** 1 and 2 only **B** 1, 2 and 3 **C** 2 and 4 **D** 4 only

34 A business does **not** record the skills or morale of its employees in its financial statements.

Which accounting principle is being applied?

- A** historic cost
B materiality
C money measurement
D realisation

- 35 What does the objective of understandability assume users of financial statements will possess?
- A full knowledge of accounting
 - B knowledge of book-keeping but **not** accounting
 - C no knowledge of book-keeping or accounting
 - D reasonable knowledge of accounting

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Cambridge IGCSE™ (9–1)

ACCOUNTING**0985/11**

Paper 1 Multiple Choice

May/June 2025**MARK SCHEME**Maximum Mark: 35

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2025 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	C	1
3	D	1
4	B	1
5	C	1
6	C	1
7	A	1
8	B	1
9	D	1
10	D	1
11	A	1
12	A	1
13	B	1
14	B	1
15	A	1
16	A	1
17	B	1
18	B	1
19	D	1
20	C	1
21	A	1
22	D	1
23	B	1
24	C	1
25	A	1
26	C	1
27	D	1
28	B	1

Question	Answer	Marks
29	D	1
30	D	1
31	C	1
32	A	1
33	B	1
34	C	1
35	D	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

May/June 2025

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 Rikado left his job as a machine operator to start his own manufacturing business.

Why was he interested in his financial statements at the end of the first year of business?

- A to ascertain the market value of the non-current assets
- B to check if all the transactions had been recorded
- C to find out about job satisfaction among the workers
- D to see if the profit was greater than his previous earnings

- 2 How is owner's equity calculated?

- A total assets – total liabilities
- B total assets + total liabilities
- C current assets – current liabilities
- D non-current assets – non-current liabilities

- 3 Shula's financial year ends on 31 March. On 1 April 2024, there was a credit balance of \$100 on Yasmin's account in Shula's purchases ledger.

What does this mean?

- A Shula had paid \$100 to Yasmin.
- B Yasmin had paid \$100 to Shula.
- C Shula owed \$100 to Yasmin.
- D Yasmin owed \$100 to Shula.

- 4 Which document may be used by a business as proof that an invoice has been paid?

- A credit note
- B paying-in slip
- C petty cash voucher
- D receipt

- 5 Raminder maintains a petty cash book using the imprest system. The monthly imprest of \$250 is restored on the first day of each month.

In January, the petty cashier spent \$105, and received a refund of \$15 from a stationery supplier.

How much was given to the petty cashier on 1 February to restore the imprest?

- A \$90
- B \$105
- C \$145
- D \$160

- 6 Which statement about cash discounts is **not** correct?
- A Cash discounts are given if payment is made within the time limit set by the supplier.
 - B Cash discounts are shown as a reduction from the list price when goods are ordered.
 - C Customers will show cash discounts given to them as other income in the income statement.
 - D Suppliers will show the cash discounts they give as an expense in the income statement.
- 7 Ziningi prepared a trial balance. The total of the debit column was \$225 750, and the total of the credit column was \$225 250.

What could explain the difference?

- A The bank overdraft of \$250 was included as a debit balance.
 - B Discount allowed of \$500 was included as a debit balance.
 - C Purchases returns for \$250 were included as a credit balance.
 - D Sales returns of \$500 were included as a debit balance.
- 8 Michael opened a suspense account when he prepared draft financial statements. He then discovered that purchases of \$68 had been credited to the purchases account as \$86.

Which entry was made in the suspense account when this error was corrected?

- A \$18 credit
 - B \$18 debit
 - C \$154 credit
 - D \$154 debit
- 9 Sameer calculated that his profit for the year was \$6300. He then found two errors.
- 1 A cheque for \$3250, received from a credit customer, had only been recorded in the cash book.
 - 2 The total of the discount allowed column in the cash book, \$300, had been credited to the discount received account.

What was Sameer's corrected profit for the year?

- A \$2450
- B \$2750
- C \$5700
- D \$6000

10 Miguel's cash book showed a debit bank balance of \$4220. He later discovered the following errors.

- 1 A cheque for \$200, issued for the purchase of office equipment, had been recorded in error in the office expenses account.
- 2 Bank charges of \$30 had been recorded in the cash book as \$70.

What was the effect of these errors on his statement of financial position?

	non-current assets (cost)	current assets
A	overstated by \$200	no effect
B	understated by \$200	no effect
C	understated by \$200	overstated by \$30
D	understated by \$200	understated by \$40

11 A trader was reconciling his bank statement with the updated balance of his cash book.

There were unpresented cheques and uncredited deposits. The bank statement did not contain any errors. He started preparing his bank reconciliation statement with the credit balance on the bank statement.

How did he arrive at his updated cash book balance?

- A** by adding both unpresented cheques and uncredited deposits
- B** by subtracting both unpresented cheques and uncredited deposits
- C** by adding unpresented cheques and subtracting uncredited deposits
- D** by subtracting unpresented cheques and adding uncredited deposits

- 12** Mary is a trader. She has a debit balance in the bank column of her cash book. Mary has received her bank statement and needs to update her cash book to record the following items.

- 1 A credit customer, Sam, has settled his account using a credit transfer.
- 2 Mary lets part of her premises to Dennis who has paid his monthly rent by standing order.

The bank balance is **not** overdrawn.

How does recording these items affect the bank balance in Mary's cash book?

	item 1	item 2
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 13** The cash book provides information for which control account item?

- A** discount allowed to credit customers
- B** interest charged on overdue accounts
- C** irrecoverable debts written off
- D** purchases returns

- 14** When Mark started a car repair business, he purchased premises and equipment.

Two years later, he spent \$5000 on building an extension, \$600 on new equipment and \$750 on repainting the original premises.

By how much will the non-current assets increase because of these transactions (ignore depreciation)?

- A** \$5000 **B** \$5600 **C** \$5750 **D** \$6350

- 15** On 1 January 2023, equipment was purchased for \$50 000. The equipment is expected to have a useful life of five years and a residual value of \$10 000. The straight-line method of depreciation is used.

What was the balance on the provision for depreciation of equipment account on 31 December 2024?

- A** \$8000 **B** \$10 000 **C** \$16 000 **D** \$20 000

- 16** Anjum rents part of her premises to Ajay for \$6120 per annum. At the beginning of the year, Ajay had paid two months' rent in advance. At the end of the year, Ajay had paid three months' rent in advance.

How much rent was received from Ajay during the year?

- A** \$3570 **B** \$5610 **C** \$6630 **D** \$8670

- 17** Why does a trader write off money owed by a credit customer as an irrecoverable debt?

- A** because the credit customer has **not** paid their account at the end of the trading period
B because the credit customer has **not** paid their account by the due date
C because the credit customer is no longer buying goods from the trader
D because the credit customer is **not** able to pay their account

- 18** Shilpa's financial year ends on 30 April. On 31 March 2025, she wrote off a debt owed by Tahir as irrecoverable.

Which entry did Shilpa make on 31 March 2025?

	debit	credit
A	income statement	Tahir
B	irrecoverable debts	income statement
C	irrecoverable debts	Tahir
D	Tahir	irrecoverable debts

- 19** Tony has prepared an inventory calculation statement at the end of the financial period.

	cost \$	net realisable value \$
cricket bats	600	750
cricket gloves	400	320
cricket helmets	900	1 200
cricket pads	300	240

What is the value of Tony's inventory?

- A** \$2060 **B** \$2200 **C** \$2510 **D** \$2650

20 Which statement is correct?

- A** The income statement is part of the double entry system and shows a trader's financial performance.
- B** The income statement is part of the double entry system and shows a trader's financial position.
- C** The statement of financial position is part of the double entry system and shows assets and liabilities only.
- D** The statement of financial position is part of the double entry system and shows owner's capital only.

21 Draft financial statements prepared at the end of the first year of trading show:

- draft profit for the year of \$24 000
- trade receivables of \$6300.

An amount of \$200 is to be written off as irrecoverable.

A provision for doubtful debts is to be set at 1% of the remaining trade receivables.

What is the revised profit for the year?

- A** \$23 737 **B** \$23 739 **C** \$23 800 **D** \$23 939

22 Ann and Bob are in partnership and share profits in the ratio 3 : 2 respectively. Ann is entitled to a salary of \$20 000 per annum. There is no interest on capital or interest on drawings. The profit for the year is \$75 000. Ann's share of the residual profit was \$24 000.

What salary was Bob entitled to?

- A** \$13 333 **B** \$15 000 **C** \$16 000 **D** \$31 000

23 What are the advantages to shareholders of operating as a limited company?

- 1 It has a separate legal identity.
 - 2 It makes it easier to prepare financial statements.
 - 3 It makes it quicker to prepare financial statements.
 - 4 It protects personal assets.
- A** 1, 2, 3 and 4
B 1 and 2 only
C 1 and 4 only
D 2, 3 and 4 only

- 24** During the year ended 31 March 2025, subscriptions received by a club amounted to \$2500, of which \$120 related to the next financial year. On 31 March 2025, subscriptions accrued amounted to \$280.

What entries would be made in the club's statement of financial position on 31 March 2025?

	current assets \$	current liabilities \$
A	120	280
B	280	120
C	400	no entry
D	no entry	400

- 25** The bank account kept by a sports club shows that subscriptions totalling \$2695 were received during the financial year.

This figure includes arrears of subscriptions owing from last year of \$145. It also includes an outstanding lodgement of subscriptions of \$195.

What amount for subscriptions is included in the receipts and payments account of the sports club?

- A** \$2355 **B** \$2500 **C** \$2550 **D** \$2695

- 26** A tennis club sells refreshments on match days.

At the end of the first accounting period, the receipts and payments account included the following:

	\$
receipts from sales of refreshments	2300
payments to suppliers of refreshments	1400
wages paid	300

Refreshments which were unsold at the end of the year cost \$200.

A bill for refreshments purchased of \$75 had not been paid.

What is the profit from sale of refreshments to be included in the income and expenditure account?

- A** \$600 **B** \$725 **C** \$800 **D** \$875

- 27** A manufacturing business calculated the following amounts for the year ended 30 April 2025.

item	\$
prime cost	360 000
factory overheads	114 850
work in progress at 30 April 2025	7 940
purchase of finished products	1 100

Work in progress at 30 April 2024 was \$8990.

What is the production cost of goods completed for the year ended 30 April 2025?

- A** \$361 050 **B** \$474 800 **C** \$475 900 **D** \$477 000

- 28** Which items are included in the calculation of prime cost in a manufacturing account?

- A** direct and indirect costs
B direct materials cost and direct labour cost only
C direct materials cost only
D direct production costs only

- 29** A manufacturer's work in progress at the start of the year was valued at \$850. At the end of the year it was valued at \$10 200.

What was the effect of this increase on the cost of production and the cost of sales?

	cost of production	cost of sales
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 30** Gustav began a business on 1 January 2023 with \$50 000 capital.

He provided the following information for the year ended 31 December 2024.

	\$
capital opening balance	58 000
additional capital introduced	2 000
drawings for the year	9 880
capital closing balance	60 156

How much profit did Gustav make in 2024?

- A** \$4156 **B** \$8000 **C** \$10 036 **D** \$18 036
- 31** The following information is available at the end of Savid's first year of trading.

	\$
Amount owed by credit customers	9 600
Amount owed to credit suppliers	12 800

Total sales for the year are \$220 000, of which cash sales are \$24 000.

What is the trade receivables turnover in days?

- A** 16 days
B 18 days
C 21 days
D 22 days
- 32** Which statement is a limitation of the comparison of the accounting ratios of different businesses?
- A** Accounting records include a value for the skills of the workforce.
B Businesses may have the same accounting policies.
C Businesses may have different sales prices.
D The available information may **not** relate to a typical year.

- 33** Maluti has a trading business that has a bank overdraft and makes a profit.

Why would the government be most interested in the financial statements of Maluti?

- A** to compile business statistics
- B** to estimate trade payable days for Maluti
- C** to plan remedial action where necessary
- D** to see whether Maluti can repay his debts when due

- 34** Vikram wanted to apply the principle of consistency when accounting for the use of his delivery van.

What did this require?

- A** making the same number of deliveries each year
- B** paying the same amount for repairs each year
- C** providing the same amount of depreciation each year
- D** using the same method of depreciation each year

- 35** Benson wanted to compare his profitability with that of his competitors. However, the completion of his financial statements was significantly delayed due to a fire in the room where the files were kept.

What does this delay affect?

- A** the comparability of the financial statements
- B** the relevance of the financial statements
- C** the reliability of the financial statements
- D** the understandability of the financial statements

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Cambridge IGCSE™ (9–1)

ACCOUNTING**0985/12**

Paper 1 Multiple Choice

May/June 2025**MARK SCHEME**Maximum Mark: 35

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1	D	1
2	A	1
3	C	1
4	D	1
5	A	1
6	B	1
7	A	1
8	C	1
9	C	1
10	D	1
11	D	1
12	D	1
13	A	1
14	B	1
15	C	1
16	C	1
17	D	1
18	C	1
19	A	1
20	A	1
21	B	1
22	B	1
23	C	1
24	B	1
25	D	1
26	B	1
27	C	1
28	D	1

Question	Answer	Marks
29	A	1
30	C	1
31	B	1
32	D	1
33	A	1
34	D	1
35	B	1



Cambridge IGCSE™ (9–1)

ACCOUNTING

0985/12

Paper 1 Multiple Choice

October/November 2025

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty-five** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 35.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



- 1 What is **not** an example of a book-keeping entry?
- A an entry made in the bank column of the cash book for a cheque received
 - B any goods returned by a customer entered in the sales returns journal
 - C cost of goods purchased on credit entered in the supplier's account
 - D expenses paid during the year entered in the income statement

- 2 What are liabilities?
- A amounts that are owed to or owned by a business
 - B amounts that are owed to others for resources provided
 - C amounts that need to be written off
 - D amounts that the owner owes to the business

- 3 Sally maintains a full set of accounting records.

She has entered the following transactions in her cash book.

- 1 A cheque for \$200 was received from a credit customer.
- 2 An insurance premium of \$200 was paid by cheque.
- 3 Petrol for the delivery van was paid for in cash.
- 4 Total cash sales of \$400 were received.

Which transactions will then be entered into the nominal ledger?

- A 1 and 4 B 1 only C 2, 3 and 4 D 2 and 3 only
- 4 An account in the purchases ledger of X Limited has a debit balance.
- What does this balance represent?
- A an amount owed by X Limited
 - B an amount paid to X Limited
 - C a prepayment made by X Limited
 - D total purchases made by X Limited

- 5 The following account appeared in the books of Mary.

Paul account					
		\$			\$
April 1	balance b / d	90	April 21	returns	25
14	sales	150	30	bank	88
				discount	2
		—		balance c / d	<u>125</u>
		<u>240</u>			<u>240</u>

Which statement is correct?

- A On 1 April, Paul owed Mary \$90.
- B On 14 April, Paul sold goods for \$150 to Mary.
- C On 21 April, Mary returned goods for \$25 to Paul.
- D On 30 April, Mary owed Paul \$125.

- 6 A supplier has received a debit note from a customer.

What does the supplier use this debit note for?

- A to complete a statement of account
 - B to correct the sales journal
 - C to make an entry in the sales returns journal
 - D to prepare a credit note
- 7 Sue allows 2% cash discount to credit customers who settle their account within 28 days.

Jane purchased goods for \$200 from Sue on 10 September but returned these goods to Sue on 15 September.

Which entry did Sue make for the transaction on 15 September?

- A purchases returns journal \$196
- B purchases returns journal \$200
- C sales returns journal \$196
- D sales returns journal \$200

- 8 A trader prepared their trial balance which showed the debit column total of \$45 000 and the credit column total of \$40 000.

The following errors were then discovered.

- 1 The discount received account balance of \$500 was listed in the debit column of the trial balance.
- 2 The returns outwards account balance of \$250 was omitted from the trial balance.
- 3 The debit column of the trial balance was overcast by \$3750.

All errors were corrected and the trial balance totals agreed.

What were the trial balance totals after the correction of errors?

- A** \$40 500 **B** \$40 750 **C** \$41 000 **D** \$ 44 500

- 9 Ahmed's trial balance totals did **not** agree. He entered the difference in a suspense account.

The following errors were later discovered.

- 1 A payment of \$200 for a vehicle repair had been debited to the motor vehicles account.
- 2 Drawings of \$150, correctly recorded in the cash book, had **not** been posted to the drawings account.
- 3 The sales journal had been undercast by \$900.

What was the original balance on Ahmed's suspense account?

- A** \$550 **B** \$750 **C** \$950 **D** \$1050

- 10** Susanne is a trader. She received a cheque from Zahir, a credit customer, for \$300. This cheque was incorrectly debited to Zahir's account and credited to the bank account.

Which journal entry corrects this error?

		debit \$	credit \$
A	bank Zahir	300	300
B	bank Zahir	600	600
C	Zahir bank	300	300
D	Zahir bank	600	600

- 11** A trial balance does **not** agree, and a suspense account is opened.

Which statement is **not** correct?

- A** Errors of commission and errors of original entry are entered in the suspense account.
 - B** The trial balance difference is entered in the suspense account.
 - C** The suspense account remains open until all the errors preventing the agreement of the trial balance have been corrected.
 - D** When all of the errors found have been corrected, there will be **no** balance carried down in the suspense account.
- 12** After receiving her bank statement, Lyn updated her cash book.

Which items would reduce the overdrawn balance in the cash book?

- 1 bank interest received
- 2 credit transfer received
- 3 direct debit payment

- A** 1 and 2 **B** 1 and 3 **C** 2 and 3 **D** 3 only

- 13** Natalie is both a customer of and a supplier to Gustav.

On 28 June, Gustav's account in Natalie's purchases ledger had a credit balance of \$295, and his account in Natalie's sales ledger had a debit balance of \$140.

Gustav wishes to offset one amount against the other.

Which entries will Gustav make in his control accounts?

	debit	credit
A	purchases ledger control account \$140	sales ledger control account \$140
B	purchases ledger control account \$155	sales ledger control account \$155
C	sales ledger control account \$140	purchases ledger control account \$140
D	sales ledger control account \$155	purchases ledger control account \$155

- 14** Johnny prepared his sales ledger control account. The figures in it came from several different sources.

Which statements are correct?

- 1 The source of the opening balance was the sales account.
- 2 The discount allowed was totalled in the three-column cash book.
- 3 The irrecoverable debts were posted from the general journal.

- A** 1 and 2 **B** 1 and 3 **C** 2 and 3 **D** 3 only

- 15** At the beginning of the year on 1 January, Zac paid \$420 for an equipment repair. He entered this amount in the equipment account.

At the end of the year on 31 December, depreciation of 20% per annum was charged on the balance of the equipment account, using the straight-line method.

What was the overall effect on the book value of the equipment on 31 December?

- A** \$84 understated
B \$336 overstated
C \$420 overstated
D \$504 understated

16 Why does a business need to provide for depreciation in its accounting records?

- A** to ensure availability of funds to replace its old non-current assets
- B** to ensure that its current assets value is **not** overstated
- C** to record as an expense the amount of the non-current assets used up during the year
- D** to show its non-current assets at their market value

17 An asset originally costing \$20 000 had been depreciated by \$15 000 when it was sold for \$3000.

Which entry will be shown in the disposal account to record the amount to be transferred to the income statement?

- A** \$2000 credit
- B** \$2000 debit
- C** \$8000 credit
- D** \$8000 debit

18 Why should prepaid income be shown in the financial statements of a business?

- A** so that credit customers pay the correct amount
- B** so that payments to credit suppliers are correctly recorded
- C** so that the statement of financial position shows the correct current assets
- D** so that the total income is matched against the total costs of the same period

19 What is the effect on total assets and on equity in the statement of financial position if the value of closing inventory is overstated?

	total assets	equity
A	overstated	overstated
B	overstated	understated
C	understated	overstated
D	understated	understated

20 Who works in a service business?

- 1 a hairdresser
- 2 an estate agent
- 3 a car mechanic
- 4 a car salesperson

- A** 1, 2 and 3
- B** 1 and 2 only
- C** 2, 3 and 4
- D** 3 and 4 only

21 At the beginning of the year on 1 January, Keith was owed \$1500 commission by clients.

During the year, Keith received \$18 000 commission.

At the end of the year on 31 December, Keith was owed \$800 commission by clients.

How much commission did Keith record in his income statement for the year ended 31 December?

- A** \$15 700 **B** \$17 300 **C** \$18 700 **D** \$20 300

22 Jack and Gill are setting up in business as partners and are considering writing up a partnership agreement.

What is **not** included in any partnership agreement drawn up by them?

- A** the rate of interest to be charged on drawings
- B** the rate of interest to be paid on a loan from a partner
- C** the rate of interest to be paid on a loan received from the bank
- D** the rate of interest to be paid on the capital invested by each partner

23 Raj and Rohit are in partnership sharing profits and losses in the ratio of 2 : 1. Raj is entitled to an annual salary of \$3000. The profit for the year was \$14 100 for the year ended 31 December 2024.

On 1 January 2024, Raj's current account had a debit balance of \$1800.

What was the credit balance on Raj's current account on 1 January 2025?

- A** \$8600 **B** \$10 400 **C** \$12 200 **D** \$12 400

24 BCD Limited provided the following information.

	\$
ordinary shares	300 000
retained earnings	200 000
debentures	170 000

How much was the equity and the capital employed of BCD Limited?

	equity \$	capital employed \$
A	300 000	470 000
B	300 000	670 000
C	500 000	470 000
D	500 000	670 000

25 Which statement correctly describes called-up share capital?

- A** all share capital which has been issued to shareholders
- B** shares which have been issued and those **not** yet issued
- C** the share capital for which payment has been requested
- D** the value of shares for which payment has been received

26 A sports club was established on 1 January. It has a clubhouse and also runs a snack bar for its members.

Which items would be included in the receipts and payments account for the first year ended 31 December?

- 1 new furniture to be used in the clubhouse, paid by credit transfer
- 2 subscriptions paid by club members in advance for the next financial year
- 3 subscriptions owing by club members at the end of the financial year
- 4 snack bar wages owing at the end of the financial year

- A** 1 and 2 **B** 1 and 4 **C** 2 and 3 **D** 3 and 4

- 27** A sports club started running a café, selling hot and cold drinks and confectionery, on 1 January 2024. The following information is given for the year ended 31 December 2024.

	\$
sales	3200
purchases	1750
wages paid to café assistant	500
inventory at 31 December 2024	250

What is the profit on the café for the year ended 31 December 2024?

- A** \$700 **B** \$950 **C** \$1200 **D** \$1450
- 28** A manufacturing business provided the following information.

	\$
prime cost	236 000
factory overheads	42 000
opening work in progress	8 000
closing work in progress	6 000

What was the factory cost of production transferred to the income statement?

- A** \$234 000 **B** \$238 000 **C** \$276 000 **D** \$280 000
- 29** Gem has been in business for many years. On 1 March, Gem purchased a new factory. On that date, he paid three months' insurance on his factory, totalling \$900.

What should Gem enter for insurance in his statement of financial position on 31 March?

- A** \$300 in current assets
B \$300 in current liabilities
C \$600 in current assets
D \$600 in current liabilities

30 Munira has **not** maintained a full set of accounting records.

How would she calculate her credit purchases figure for a month?

- A** payments to credit suppliers + closing trade payables – discounts received – opening trade payables
- B** payments to credit suppliers – closing trade payables + discounts received + opening trade payables
- C** payments to credit suppliers – closing trade payables – discounts received + opening trade payables
- D** payments to credit suppliers + closing trade payables + discounts received – opening trade payables

31 The assets of a business increased by \$22 000 and its liabilities decreased by \$6000 over a one-year period.

During this period, the owner invested an additional \$4000 of private funds into the business and withdrew \$7000 for personal use.

How much was the profit for the year?

- A** \$13 000 **B** \$17 000 **C** \$19 000 **D** \$31 000

32 Jonny provided the following information.

	\$
inventory	3500
cash	100
bank overdraft	1900
trade receivables	2400
trade payables	2100

What was Jonny's current ratio?

- A** 1.33 : 1 **B** 1.50 : 1 **C** 1.58 : 1 **D** 1.95 : 1

- 33** Jose runs a business providing accounting and book-keeping services.

What is **not** relevant in analysing his business financial statements?

- A** current ratio
- B** profit margin
- C** rate of inventory turnover
- D** return on capital employed

- 34** Jamila's business sells one type of product only. She provided the following information.

	year 1	year 2
number of units sold	1000	1000
sales revenue	\$8000	\$10 800
rate of inventory turnover	28 days	31 days

What happened in year 2?

- A** The sales price decreased, and goods were sold faster.
 - B** The sales price decreased, and goods were sold more slowly.
 - C** The sales price increased, and goods were sold faster.
 - D** The sales price increased, and goods were sold more slowly.
- 35** Antionette decides to treat a calculator bought for her large business as an expense instead of as a non-current asset even though it will be used for several years.

Which principle did Antionette apply in deciding to account for the calculator as an expense?

- A** duality
- B** historic cost
- C** materiality
- D** money measurement

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Cambridge IGCSE™ (9–1)

ACCOUNTING**0985/12**

Paper 1 Multiple Choice

October/November 2025**MARK SCHEME**Maximum Mark: 35

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This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	B	1
3	C	1
4	C	1
5	A	1
6	D	1
7	D	1
8	B	1
9	B	1
10	B	1
11	A	1
12	A	1
13	A	1
14	C	1
15	B	1
16	C	1
17	A	1
18	D	1
19	A	1
20	A	1
21	B	1
22	C	1
23	A	1
24	D	1
25	C	1
26	A	1
27	C	1
28	D	1

Question	Answer	Marks
29	C	1
30	D	1
31	D	1
32	B	1
33	C	1
34	D	1
35	C	1